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PREAMBLE

Ghana Airports Company Limited has responsibility for planning, developing, managing and maintaining all airports and aerodromes in Ghana. Specifically, the firm performs the following functions:

- Develop, maintain and secure airports and airstrips in Ghana;
- Develop, maintain and manage such services and facilities that are necessary and desirable for efficient and effective operations of airports and airstrips;
- Facilitate airline operations of passengers and cargoes;
- Provide safety and security for aircraft, passengers and cargoes in accordance with best international standards;
- Increase stakeholder value;
- Coordinate the operations of other agencies that provide support services in the airport to enhance overall efficiency;
- Provide rescue and fire fighting equipment and services at airports;
- Supervise the establishment of private airstrip and their operations;
- To maintain its international relationships and continue to build on high international reputation which GCAA acquired over time;
- To build public confidence in the company and the airports facilities and services; and
- To contribute to overall national development agenda and serve the community in which it is located.

1.1 MISSION, VISION AND CORPORATE VALUES

Mission:

To provide world-class facilities and services for the benefit of our stakeholders

Vision:

To position Ghana as the preferred aviation hub and leader in Airport business in West Africa

Tag Line:

Ghana Airports... where it all starts.

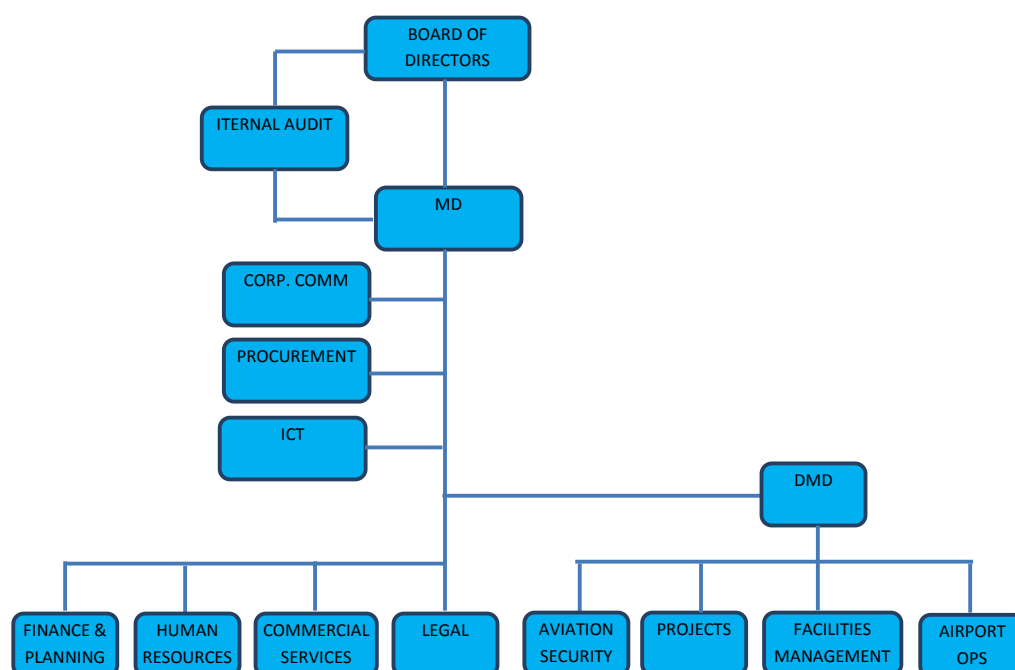
Corporate Values of the company are hereunder:

- **S** - Safety & Security – To provide SAFE & SECURE Airports;
- **E** – Efficiency – To operate and manage our resources EFFICIENTLY;
- **R** – Reliability – To strive for RELIABLE systems;
- **V** – Visibility – To be VISIBLE and proactive;
- **I** – Integrity – To be TRANSPARENT in our dealings;
- **C** – Customer-focused – To make our CUSTOMERS our priority;
- **E** – Excellence – To strive for EXCELLENCE in all we do.

1.2 ORGANIZATIONAL STRUCTURE

The structure defines how activities such as task allocation, coordination and supervision are directed towards the achievement of organizational aims.

Figure 1: GACL Organogram



CHAPTER 1

EVOLUTION AND STRUCTURE OF GHANA AIRPORTS COMPANY LIMITED

1. The development of Civil Aviation in Ghana dates back to 1918 when the idea of aerial transportation was conceived. In 1930 it started as a unit within the Public Works Department (PWD) and was granted Departmental status in 1953 under the Ministry of Transport and Communications.

It remained as such until 16th May 1986, when the Ghana Civil Aviation Company (GCAA), was established by PNDC Law 151 and assumed the status of a corporate body under the present Ministry of Roads and Transport.

2. In November 2004, PNDC Law 151 was repealed and replaced by the Civil Aviation Act 678. The Act provides a transitional period under which GCAA is expected to separate the regulatory and air traffic functions from the airport operations.
3. The new Act, Ghana Civil Aviation Act, 678 of November 2004, set out the following as objectives for the Company:

- To develop opportunities for domestic and international travel and trade;
- To provide facilities to improve access to remote regions, enhance mobility and develop opportunities to travel within the Republic;
- To facilitate efficient aviation operations;
- To improve the scope and quality of aviation services
- To encourage strong and sustainable growth in the aviation industry;
- To maintain the highest standards of safety and security in the provision of air transport; and
- To develop aviation whilst preserving the environment

4. The Ghana Airports Company Limited (GACL) was established as a result of the decoupling of the existing Ghana Civil Aviation Company (GCAA) in line with the modern trends in the aviation industry. The company was registered in

January 2006 with the responsibility for planning, developing, managing and maintaining all airports and aerodromes in Ghana namely Kotoka International Airport (KIA) and the regional airports namely Kumasi, Tamale, Sunyani as well as various airstrips. The Company commenced business on 1st January 2007.

5. GACL Vision & Mission

MISSION, VISION AND CORPORATE VALUES

Mission:

To provide world-class facilities and services for the benefit of our stakeholders

Vision:

To position Ghana as the preferred aviation hub and leader in Airport business in West Africa

Tag Line:

Ghana Airports... where it all starts.

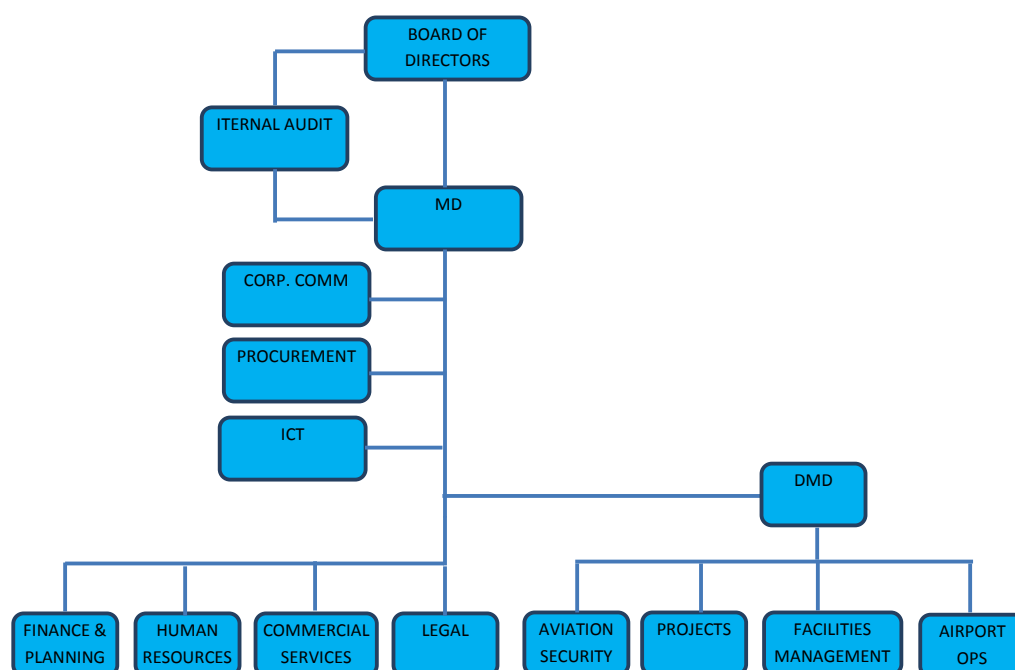
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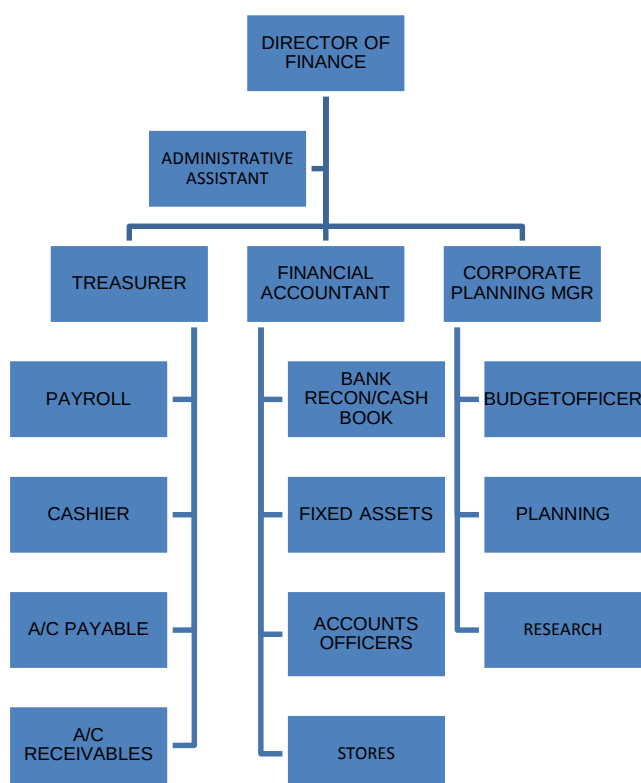
Figure 1: GACL Organogram



CHAPTER 2

STRUCTURE OF THE FINANCE DEPARTMENT

1. The department will be responsible for the management of the entire spectrum of the company's financial resources and external relationship with stakeholders and other members of the aviation business on financial matters. The Department will be particularly responsible for the preparation of annual reports, monthly accounts and financial statements and the formulation of business strategies and corporate plans etc.
2. The organogram of the finance department is as shown hereunder.



3. FUNCTIONS AND RESPONSIBILITIES OF FINANCE DEPARTMENT

The major functions and responsibilities of the Finance Department are:

- I. Develop and continuously revise the financial management strategy for GACL in tune with changing circumstances.
- II. Advise Managing Director and management team on financial matters
- III. Prepare monthly accounts and management reports
- IV. Prepare statutory financial statements.
- V. Prepare cash forecasts and control GACL's bank accounts.
- VI. Negotiate and arrange availability of funds.
- VII. Provide financial information for effective cost control and decision making.
- VIII. Collect proceeds for services rendered to Airlines operating within the Accra FIR
- IX. Collect proceeds from Investment Properties i.e. rent, royalties etc.
- X. Collect proceeds from users of airport facilities.
- XI. Pay salaries to employees.
- XII. Settle creditor's invoices on due dates.
- XIII. Maintain petty cash facilities for sundry expenses and employee advances
- XIV. Maintain records of GACL assets and liabilities.
- XV. Act as custodian for GACL's assets.
- XVI. Maintain and keep safe custody of the statutory books of accounts and any other supporting records to:
 - Prepare the required financial statements on a periodic basis.
 - Ensure that its liabilities are met without default.
 - Ensure that all amounts due to GACL are collected in full and on time.
 - Ensure that proper records exist for all its movable and immovable assets.
 - Satisfy the information needs of management for effective decision-making.

- Comply with statutory reporting requirements.
- The records will be maintained in a format that can be easily retrieved and accessed by Finance Department staff. The Director of Finance will take necessary safeguards to prevent the premature, inadvertent or willful damage, destruction or erasure of information and records.

CHAPTER 3

INTRODUCTION TO THE MANUAL

1.1 The objectives of these procedures are to:

- I. Provide the Finance Department of GACL with a framework for the effective administration of its functions.
- II. Ensure that adequate management controls and safeguards are in place in the day to day operation of the company and in the use of resources and facilities available to it.
- III. Provide GACL Finance Department staff with guidelines for the adoption of standard accounting practices and methods, in accordance with the overall policies of GACL.
- IV. Provide non-accounting personnel of GACL with a set of instructions on how to comply with relevant finance matters.
- V. Document existing systems and procedures in a standard format, enabling these to be reviewed, continuously improved and updated.

CHAPTER 4

FUNDAMENTALS OF GACL'S FINANCIAL CONTROL

1. The objectives of financial control.

These objectives are to:

- ✓ **Promote efficiency and effectiveness.** This objective is geared towards protecting the company's assets and optimising their use through minimising waste, loss, misuse or abuse. Company assets include the company's reputation and standing within the community as well as those in its balance sheet.
- ✓ **Preserve the integrity of financial information.** This objective is concerned with the reliability of financial information for internal or external stakeholders (shareholders, employees, customers, suppliers, venture partners, government agencies, etc.). For example, management requires sound financial information to enable performance monitoring, and to aid the allocation of resources. Reliable financial statements are essential for shareholders, and other partners who invest on the basis of such financial information.
- ✓ **Ensure compliance with applicable legislation and company policy.** This objective relates to the need for the company to conduct its activities within the boundaries of law, regulation and management policy. For example, this includes adhering to company laws and local regulations, Procurement Law, International Financial Reporting Standards (IFRS) and the company accounting policies and company principles on business ethics.

2. As with any form of business control, the framework for this financial controls can only seek to provide reasonable assurances that objectives will be achieved. All controls have inherent limitations, for instance:

- ✓ human errors (due to carelessness, lack of knowledge, or misunderstanding of procedures) can limit the effectiveness of the control framework,
 - ✓ authorisation controls can be abused by the individual in whom company has placed trust and/or responsibility, and
 - ✓ controls may be circumvented by collusion of two or more people.
3. The design of a framework of financial controls recognizes such limitations and strike a prudent balance between risk and cost. Similarly, the framework will have appropriate checks and balances to ensure that controls continue to be "fit for purpose".
- ✓ Credit control. Exercising strict procedures over the granting, monitoring and rescinding of credit.
 - ✓ Reconciliations. Effective supervision ensuring that bank balances and physical inventories are promptly reconciled to accounting records, and un-reconciled items are swiftly investigated and cleared.
 - ✓ Bank lodgements. Ensuring that cash received at outlying locations is independently matched against cash actually lodged in the bank, and any discrepancies are promptly investigated.
 - ✓ Supervisory review. Effective measures designed to ensure that responsibilities are understood, procedures are appropriate for the task and are being followed, and errors are detected and corrected.
 - ✓ Budgetary control. Thorough examination of variances between actual and budget expenditure, and timely provision of management information reports.
4. **General financial controls.** Of particular importance in the application of financial controls are the following :
- ✓ physical control over assets and records,
 - ✓ Company system,
 - ✓ financial plans and budgets,
 - ✓ information and documentation,
 - ✓ independent review and performance controls, and
 - ✓ segregation of duties.

5. Physical controls over assets and records. Physical precautions to prevent loss, theft, or misuse of assets and formal documents and records.

Custodial procedures will define physical safeguards, and prevent unauthorised use of, or access to, assets and records. These procedures will be supported by independent checks to ensure that recorded assets physically exist as stated. For instance, physical control procedures need to ensure that:

- ✓ there is specific line accountability for the custody of assets,
- ✓ there is security over cash, inventories and moveable assets,
- ✓ access to computer installations, accounting records, etc., is restricted,
- ✓ Safeguards are placed on stored documents and data records,
- ✓ there is an appropriate document retention policy that meets the minimum statutory requirements, and
- ✓ Provision is made for back up and fall back of data and systems.

6. **Company system.** Maintenance of a formal "manual of authorities" that enables management to assign or limit Company for actions or transactions. Good business practice requires that **all** actions or transactions are executed with management's specific or general Company authorisation. General authorisation results from management developing objectives and policies for the company to follow. Individuals implement general authorities by approving actions or transactions within limits set by policy. Additionally, management will reserve specific authorisation for particular transactions that they want to authorise individually, on a case by case basis (e.g. capital expenditure proposals). Authorisation should be formalised and evidenced by signatures; oral authorisation, on its own, is not an acceptable practice. A satisfactory system of authorities will:

- ✓ cover all business activities,
- ✓ clearly define an individual's Company levels,
- ✓ be matched with an individual's job responsibility, and

- ✓ be recorded and kept up to date with relevant changes.

7. **Financial plans and budgets.** The expression of strategies and objectives in financial terms as a basis for establishing priorities, allocating resources and measuring performance. To be effective, plans and budgets will:

- be prepared on a consistent basis using agreed assumptions and in accordance with established procedures,
- be prepared by the people who are responsible for implementing them,
- have the full support of management
- be constructed in a way which reflects the business structure and the delegation of accountability and Company,
- be capable of regular and frequent review,
- have a monitoring and review process formally established.

The discipline of budgetary control increases the likelihood of variations to plans, errors or irregularities being detected on a timely basis.

8. **Information and documentation.** The system of capturing and communicating financial data and information.

Financial information objectives are achieved by maintaining an adequate information system that can identify, classify, record, and report data in conformity with company financial accounting policies, and Companies Code requirements. Of particular importance is the need to develop and maintain an appropriate chart of accounts, and detailed system procedures.

Transactions must be properly recorded to enable the information system to provide meaningful reports. Implicit in the term "properly recorded" are a number of key attributes:

- ✓ **Validity.** Transactions are properly authorised and genuinely reflect business events that actually occurred. Evidence exists to verify transaction.
- ✓ **Completeness.** All transactions and business events that occurred in the specific period have been recorded.

- ✓ **Accuracy.** Transaction amounts are correctly stated, or calculated. Balances are accurately accumulated in terms of value, accounting period, and classification. Assets and liabilities have been correctly valued, and appropriate amounts allocated to revenue and expense components in the correct accounting period.
- ✓ **Timeliness.** Transactions are recorded on a timely basis, promptly after the event

9. Financial data, once recorded, need to be properly presented and disclosed in conformity with governing rules depending on its intended use. Financial reports for external use must comply with relevant legislation, and company financial accounting policies, and represent the underlying transactions and business events. Financial reports for (internal use or) use in making management decisions must conform to management requirements.

Effective control of a company's operations can be greatly influenced by the quality of information generated for management review. In addition to the general attributes above, management information must also:

- ✓ be produced on a regular basis (say monthly) so as to provide meaningful comparisons, period to period,
- ✓ be sufficiently comprehensive to highlight factors warranting management attention, and
- ✓ facilitate financial performance measurement and analysis.

10. **Independent review and performance controls.** Intended to verify that financial controls are operating properly.

Performance controls are designed to provide independent feedback by detecting errors or irregularities. Typically these controls involve reconciliation and review of company records with external

documentation, or checks that assets exist as recorded. Examples of this type of control are: bank reconciliations, cash counts, management review of reconciliations and credit control reports, or physical inventory counts.

Critical features of performance controls are the independent nature of the check and its timing in the activity. To be effective this type of control needs to be performed as soon after the event as possible so that discrepancies can be investigated promptly, and by someone who is independent of the original task. For example reconciling cash received with bank lodgements should be effected promptly and, by a different individual from the person who lodged the cash in the bank.

Performance indicators are a way of measuring the effectiveness of control mechanisms against the defined success factors of a particular activity. Taking "process accounts payable" as an illustration, indicators could be established along the following lines:

Cost	cost per invoice processed.
Productivity	number of invoices entered in system, by volume and value. proportion of invoices registered within agreed parameters. number of invoices processed to payment order. cost per invoice processed.
Quality	volume, value of invoices overdue. error rates of inputs, or transactions processed. rejection levels of supplier invoices. log of supplier complaints, numbers analysed by type.

- 11. Segregation of duties.** Intended to provide assurance that errors are detected, and to limit opportunities for individuals to conceal irregularities.

It is good practice to organise tasks so that different elements of a transaction are performed by different individuals. Wherever practical, different individuals should be assigned responsibility for:

- ✓ custody of assets (particularly if the asset is easily convertible to cash),
- ✓ authorisation of related transactions, and
- ✓ maintenance of related records and accounts

Therefore, an individual, who receives materials, should not also authorise invoices that relate to those materials. Similarly, individuals involved in dealing (either trading products, or foreign exchange transactions) should not be responsible for handling counterparty confirmations concerning those deals.

Segregation of duties needs to be carefully reassessed following organisational change, especially where there is a reduction or integration of supervisory, or clerical positions. Where it is impractical to segregate duties then it is best to minimise exposure through independent checks, and monitoring of transactions on an analytical basis. If a particular organisation cannot incorporate preventative measures into its structure then detective controls must be applied instead. For example, managers who have accountability for remote locations should undertake periodic spot checks of assets held, and should review a number of sample transactions and key reconciliations in detail.

4. ACCOUNTING POLICIES

I. Assets classified as held-for-sale

Non-current assets and disposal groups are classified as held-for-sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use.

Non-current assets (and disposal groups) classified as held-for-sale cease to be depreciated and are measured at the lower of carrying amount and fair value less selling costs.

II. Intangible assets

Intangible assets are measured at cost less accumulated amortisation and accumulated impairment losses, and include only the amounts expended by Ghana Airports. Intangible assets include purchased computer software and software licences.

III. Borrowing costs

Borrowing costs attributable to the acquisition or construction of qualifying assets are added to the cost of those assets under capital work-in-progress, until such time as the assets are substantially ready for their intended use. All other borrowing costs are recognised as interest expense in the statements of comprehensive income in the period in which they are incurred.

Foreign currency translation

The Company's financial statements are presented in Ghana Cedi, which is also the company's functional currency. Transactions in foreign currencies are initially recorded at the functional currency rates prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rate of exchange ruling at the reporting date. All differences are taken to the income statement.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items is recognised in line with the gain or loss of the item that gave rise to the translation difference (translation differences on items whose gain or loss is recognised in other comprehensive income or profit or loss is also recognised in other comprehensive income or profit or loss respectively).

V. Government grants

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is recognised as deferred income and released to income in equal amounts over the expected useful life of the related asset.

Where the Company receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and released to the income statement over the expected useful life and pattern of consumption of the benefit of the underlying asset by equal annual instalments. Where loans or similar assistance are provided by governments or related institutions with an interest rate below the current applicable market rate, the effect of this favourable interest is regarded as additional government grant.

VI. Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one party and a financial liability or equity instrument of another party. All financial instruments are classified into one of the following categories depending on the purpose for which the instruments were acquired:

- ✓ Financial assets and liabilities at fair value through profit or loss:

A financial asset or liability is classified in this category if acquired principally for the purpose of selling or repurchasing in the short-term. Financial instruments in this category are recognized initially and subsequently at fair value.

VII. Investment properties

Investment property is defined as property (land or building – or part of a building – or both) held by the Company to earn rental income or for capital appreciation or both, rather than for sale in the ordinary course of business or for use for administrative purposes and includes investment property under construction. The company recognises any part of an owned (or leased under a finance lease) property that is leased to third-parties as investment property, unless it represents an insignificant portion of the property.

Investment property is measured initially at cost including transaction costs. Subsequent to initial recognition, the Company elected to measure investment property at cost less accumulated depreciation and accumulated impairment losses, if any (i.e., applying the same accounting policies (including useful lives) as for property, plant and equipment). The fair values, which reflect the market conditions at the balance sheet date. If an investment property becomes owner-occupied, it is reclassified as property plant and equipment and its fair value at the date of reclassification becomes its cost for subsequent accounting purposes.

VIII. Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable for services provided in the normal course of business, net of discounts, and VAT. Revenue on Passenger charges are based on the number of departing passengers on departure.

Revenue is also made on Airside and general terminal and parking as the airport facilities are utilised.

Rent, royalties, car park, airport pass and Operating license are other means by which the GACL generates its revenue. These are recognised as other income.

IX. Lease

The determination of whether an arrangement is or contains a lease is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

✓ **Company as a lessee**

Finance leases, which transfer to the company substantially all the risks and benefits incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance costs are charged directly against income.

Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset and the lease term if there is no reasonable certainty that the company will obtain ownership by the end of the lease term.

Operating lease payments are recognised as an expense in the income statement on a straight-line basis over the lease term. In the event that lease incentives are received to enter into operating leases, such incentives are recognised as a liability.

The aggregate benefit of incentives is recognised as a reduction of rental expense on a straight-line basis, except where another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

✓ **Company as a Lessor**

Leases where the company retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight-line basis over the lease term.

CHAPTER 5

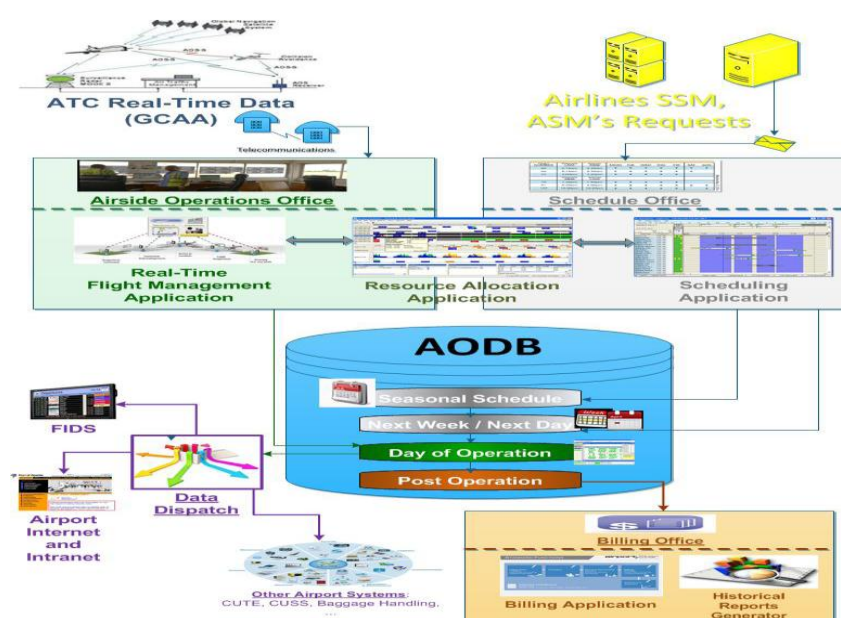
REVENUE

POLICY SCHEDULE	
Policy Title	Revenue
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

I. POLICY

GACL receives revenue from several types of transactions and. Revenue for each of these types is recognized in the financial statements on an accrual basis that is, as the revenue is earned by the company.

II. PROCEDURE FOR BOOKING REVENUE



Revenue from Air Traffic Operations. The following are classes of Airside Revenue:

- A. **Landing** - are charges for the use the runway and taxiway

Procedure

- ✓ Aircraft movement is captured by Airside Operations

- ✓ Data captured on the Aircraft movement captured by Airside Operations (and compared for accuracy with corresponding data from AVSEC) feeds into the Financial model which translates the data into billing.
- ✓ Invoice is dispatched to Airline

B. Parking - charges for parking of aircraft at apron areas

Procedure

- ✓ Data captured on the Aircraft movement is captured by Airside Operations based on on-chork and off-chork
- ✓ Data on Aircraft movement feeds into Financial model which translates into billing.
- ✓ Invoice is dispatched to Airline.

C. Lighting - charges for landing and or take off under the following conditions, between sunset and sunrise, where runway lights are switched on request due to bad weather.

Procedure

- ✓ Aircraft movement is captured by Airside Operations
- ✓ Aircraft movement feeds into Financial model which translates into billing.
- ✓ Invoice is dispatched to Airline

D. Fire Cover; Charges for fire and rescue services. A mandatory standby is provided for refueling of aircraft with passengers on board

Procedure

There should a request from the Airline for cover.

- ✓ A charge sheet is prepared by RFFS and signed by airline representative in quadruplicate and distributed as follows:
 - ❖ Original to Airline/Client
 - ❖ Duplicate to finance
 - ❖ Triplicate to RFFS
 - ❖ Quadruplicate book copy

Invoice is processed and dispatched to Airline/Client

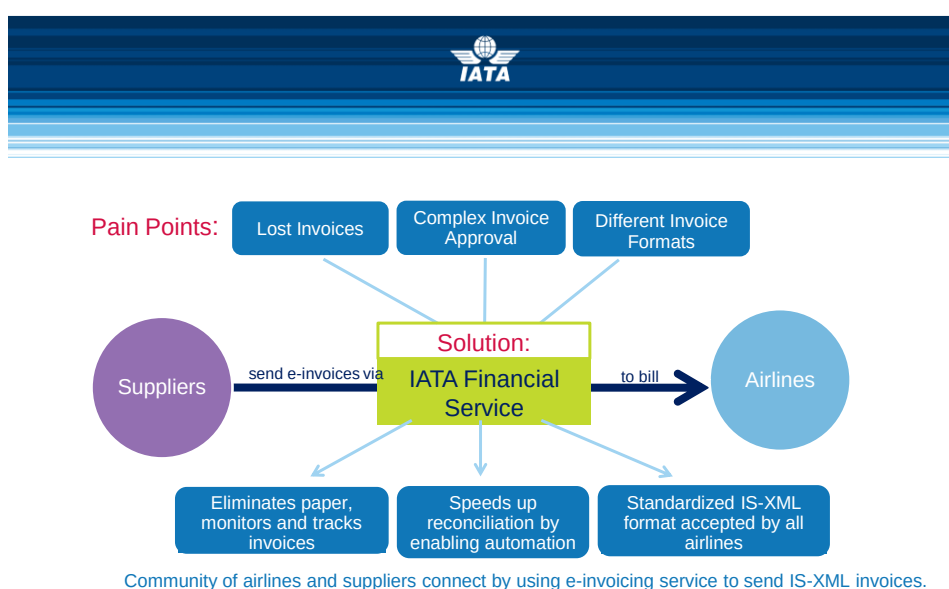
E. Passenger Service Charge

Charges for the use of passenger terminal and other passenger processing facilities.

Procedure

Airlines submit load sheet and manifest of passengers within 24 hours of flight departure to Airside Office.

- ✓ Processing of data into PSC and invoices dispatched to Airlines fortnightly.
- ✓ Other airside traffic operations - aircraft recovery, aircraft maintenance
- ✓ In respect of Airline on the IATA settlement, the Airside Billing office will dispatch data in respect of all aeronautical Services provided for IATA to invoice Airlines directly.



Non-scheduled Operations

Aeronautical charges for unscheduled flights which do not have any credit arrangements with GACL will be paid in cash.

- ✓ Airside Billing Office will prepare an invoice based on actual and estimate of services rendered to the aircraft.
- ✓ The Pilot/Owner/Operator pays immediately before departure

Procedure

- ✓ To ensure all private aircraft, non-schedule, and schedule airlines who operate on cash basis are covered in terms of billing and payment, Finance is liaise with both Airside Operation and Aviation Security (AVSEC).
- ✓ Avsec shall assist Finance with copies of General Declaration forms from all private aircrafts who land at KIA. This will inform the billing office of the time of arrival, expected departure time, souls on board, the purpose of stopping at KIA and goods if any. This general declaration will enable the billing officer to independently verify the data captured by Airside Operations as well as to capture economic passengers for airport tax.
- ✓ Airside Operations is also responsible for capturing all aircraft landing and taking off from KIA. To ensure we do not miss flight from paying, Airside Operations is to ensure cash operating flights do not depart without inspecting their receipt and endorsing it.
- ✓ Timely and accurate billing is also assured. Airside Operations records all arrival and departures from KIA. Based on these data, Finance shall raise cash invoice for the airlines from the billing software.
- ✓ Cash Collection and Banking: All cash customers pay at the cash office. The cash office operates 24 hours. Cash receipt is done only and only at the cash office. Receipts for all payments are based on the bill captured by Airside Operations.
- ✓ The Cashier generates the invoice at the cash office and receive payments through the accounting software (Ebizframe). Manual receipts are available for issue during system downtimes. The Cashier attaches the copy of the receipt to the copy of the bill and place it on file for verification and reconciliations. All cash collections for the day are reviewed by the supervisor and authorized.

- ✓ Banking will be done daily except weekends. Cash collection from the previous day is deposited with the Main Cashier at the head office for onward banking.
- ✓ There is a safe at the Airside Cash Office to ensure safe keeping of cheques and cash collected. There is also, counterfeit detectors to assist the cashiers determine genuine currencies.
- ✓ Stanbic Bank to provide GACL with Point Of Sale (POS) device. The POS will enable clients pay with their credit or debit cards through visa. This will reduce the cash transactions and the company's exposure.

F. Revenues from Non-Aeronautical activities

Accrual method of accounting will be use to account for the following class of receivables from Concessions:

- ✓ Aviation Fuel and Oil
- ✓ Ground Handling
- ✓ Catering Services
- ✓ Bullion Service
- ✓ Duty Free

G. Cash Revenue

The following types of revenue will be booked immediately cash is received and not when is earned.

Retail - i.e. Restaurants, Bars, Cafeteria, - cash

Automobile Parking - cash

Rental - cash 1 year for the first instance 6 months advance payment thereof

Investment –

H. Others

(a) Sale of ID Cards, (b) Sale of Stickers (c) Disposal of Assets, (d) Training Services, (e) operators licenses, (f) security orientation, etc.

III. ACCOUNTING FOR LANDSIDE REVENUE

I. Concession

- ✓ Client submit returns on monthly basis covering all operations or GACL linked up with client system.
- ✓ Returns are validated by audit
- ✓ Invoice for Non-aeronautical Revenue will be raised in the accounting software and a copy dispatched to the customer.

The Accounting entries will be as follows:

Debit - Customer's A/c

Credit - Appropriate Revenue A/c

CHAPTER 6

REVENUE AND EXPENDITURE

POLICY SCHEDULE	
Policy Title	Revenue Expenditure
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

I. DEFINITION

Expenditure is a term commonly used to describe the consumption of economic resources within an entity. Under the accrual system of accounting only expenses incurred in generating the revenue for the period will be matched against the revenue for that period. As such:

Only that portion of the expense, which relates to the generation of the income for the period is matched against the revenue in determining the profit or loss for that period.

Expenses will be accounted for when they are incurred, even if they remain unpaid at balance sheet date.

Month-end accrual forms are sent to department heads to advise the finance department on the value of goods and services for which invoices have not been received. Such costs are accrued, but not paid for until invoice is received.

- II. Revenue Expenditure to be accrued monthly is categorised into the following:
- Operating
 - Employee
 - General and Admin
 - Finance

Procedure:

The following key steps are required to be followed in all expenditure transactions:

- ✓ sanction of expenditure
- ✓ preparation of claim voucher (bill) for payment (except for salaries and wages)
- ✓ approval of expenditure
- ✓ registration of purchase order/claim voucher
- ✓ certification (pre-audit) of claims
- ✓ authorisation of payment
- ✓ issue of payment
- ✓ recording of expenditure in the accounting records.

CHAPTER 7

PROCUREMENT

1. PURCHASING RESPONSIBILITIES

The procurement section of GACL has the ultimate responsibility for all purchase and supply commitments.

Any delegation of the purchasing authority to another employee or department should be covered by specific written instruction from the Director of Finance or the Procurement Manager.

The Procurement Manager in collaboration with the Audit Department has the responsibility for the establishment and maintenance of purchasing policies and procedures. The Procurement Manager has the responsibility of reviewing all buying activities under his control to ensure compliance with policies and procedures and also to reflect the Procurement Law Requirements, Act 663 of 2003.

2. THE OBJECTIVES OF GACL'S PURCHASING POLICY

The objective of GACL's purchasing policy is to ensure that best practices are adopted by its officers in sourcing, acquiring and paying for goods and services required for its operations.

The following policies provide broad guidelines to all with staff responsibility for the acquisition of goods and services and associated functions.

- i. All staff engaged in the acquisition of goods and services on behalf of the company will at all times avoid any conflict of interest in that process. Specifically, they will avoid having any personal interest, concerned and or with any of the parties they are dealing with.
- ii. The employee must declare the existence of any such interest, or potential interest, to his/her Supervisor or Head of Department immediately he/she becomes aware of it.

- iii. Employees will not accept or solicit any gifts and or other benefits, monetary or otherwise from vendors or potential vendors. Token commercial gifts, such as vendor company promotional material are not considered as gifts, for this purpose.
- iv. GACL and its purchasing staff will endeavour to maintain mutually respectful relationships with all vendors that foster business confidence in each other.
- v. No officer or employee of the company shall divulge information relating to its vendors or of their services to a third party, no matter how unrelated it may seem, without the authority of the Managing Director. The Managing Director shall sanction such a request only if there is a commercial advantage to GACL and it is not unethical to do so.

3. PROVISIONS OF PROCUREMENT ACT 663 OF 2006

i. PROCUREMENT ENTITY

Definition

Any unit or individual that has recourse to the use of Public funds is a Procurement Entity.

- Entity Types
- Central Management Agencies
- Ministries, Departments and Agencies.

ii. THE HEAD OF GACL PROCUREMENT ENTITY

The Head of the Entity is more or less the Principal Account Holder (PAH). In this case the Managing Director. As stated under section 74 in the Financial Administration Act, 2003 (Act 654).

Key Functions of PAH

- ensures that the provisions of the act are complied with:
- Is held accountable should a contract be awarded in a manner that is inconsistent with the Act:
- Makes decisions in a corporate manner

PROCUREMENT THRESHOLD OF ENTITY HEAD

WORKS	Up to ₵100m
Goods	Up to ₵50m
Technical Services	Up to ₵50m
Consulting Services	Up to ₵50m

iii. ENTITY TENDER COMMITTEE (S 17)

Each Procurement Entity is expected to establish Tender Committee as set out in schedule 1 of Act 663.

iv. STATE ENTERPRISES TENDER COMMITTEE

Chairman- Sector Minister or Chairman of the Board

Member - Chief Executive

Financial Controller

Head of Technical services

A representative of Ministry of Justice

Members of the board

Heads of Departments appointed by the Minister

Secretary – Head of Procurement.

Key Functions:

- seeks one stop only concurrent approval
- awards contracts, publishes awards, manages contracts
- takes delivery
- monitors performance of suppliers and contracts.
- plans and quarterly reviews procurement plans
- ensures correlation between policies and procurement plans of the entity.
- Applies proper procedures.

4. PROCUREMENT THRESHOLD OF ENTITY TENDER COMMITTEE;

Goods	¢50m – 1.0b
Works	¢100m - ¢2.0b
Technical Services	¢50m – ¢250m
Consulting Services	¢50m – 100m

v. TENDER EVALUATION PANEL (S19):

What is a Tender Evaluation Panel?

- specialists appointed as and when required to review and make recommendation for contract award, using specified and previously published criteria in the tender documents for evaluation.
- The specialists need not be in house.

vi. TENDER REVIEW BOARDS S20

Entity Tender Review Boards shall be established at 4 levels : (see 20 & schedule 2)

- Central Tender Review Board
- Ministerial Tender Review Boards
- Regional Tender Review Boards
- District Tender Review Boards.

May engage the services of consultants and advisers, or co-opt persons with specialized expertise

Key Functions:

- review the activities at each step of the procurement
- give concurrent approval
- furnish the Board with reports in a prescribed format.
- Review decisions of heads of entities in respect of a complaint.

Institutions – (FOUR LEVELS of TRBs) Sch. 3 THRESHOLDS

Threshold	Regional	District
Works	¢2-15b	¢500m – 2b
Goods	¢1b - ¢8b	¢250m – 1b
Tech. Service	¢1-8b	¢250m – 1b
Consultancy Service	¢500m-3.5b	¢100m 500m

Institutions – (FOUR LEVELS of TRBS) Sch 3

Threshold	Central	Ministerial
Works	Above ¢15b	¢2-15b
Goods	Above ¢8b	¢1-8b
Tech. Service	Above ¢8b	¢1-8b
Consult. Service.	Above ¢3.5b	¢500m- 3.5b

5. PROCUREMENT RULES

- Procurement Planning (s 21)
- Qualification of Tenderers (s 22)
- Prequalification Proceedings (S 23)
- Participation in Procurement Proceedings (S 25)
- Records of Procurement Proceedings (S 28)
- Rejection of Tenders, Proposals and Quatations (S 29)
- Public notice of contract awards (S 31)
- Inducements from contractors, supplies and Consultants.

A. PROCUREMENT PLANNING S 21

A Procurement entity shall prepare a procurement plan to support its approval Budgets and the plan shall:

- a. capture on going contract, packages and financial commitments
 - b. package new contracts
 - c. estimate the procurement methods, and
 - d. determine processing steps and times
- A Procurement Entity shall submit to its Tender committee not later than 1 month to the end of the financial year the procurement plan for the ensuing year for approval.
 - After budget approval and at quarterly intervals, each procurement entity shall send an update of the procurement plan to its Tender Committee.
 - The procurement entity MUST send to the Tender Review Board, procurement notices for contracts and procurement plans above the thresholds stipulated in schedule 3 for publication in the Public Procurement Bulletin.
 - A Procurement Entity SHALL not divide a procurement order into parts or lower the value of a procurement order to avoid the application of the procedures for public procurement in this **Act**.

B. QUALIFICATION OF TENDERERS (S 22)

1. Tenderers must possess
 - Professional and Technical qualifications and competence
 - Financial resources
 - Equipment and other physical facilities
 - Managerial capability, reliability and experience
 - Competent personnel
2. Must have fulfilled all tax obligations
3. False declarations are not permitted.
4. Ways of verifying Qualification
 - Pre-qualification
 - Classification
 - Expression of interest
 - Record of Performance.

i. Prequalification Proceedings (Sect.23)

- Entities are allowed to sift tenderers
- The rule is essentially to remove redundancies in the process in terms of time and effort but not to limit competition.
- Participation in procurement proceedings shall be on a **COMPETITIVE BASIS**

ii. Record Of Procurement Proceedings (S 28)

- Descriptions of goods, works and services
- Name and address of Tenderers
- Information on qualification
- All relevant information.

6. REJECTION OF TENDERS, PROPOSALS AND QUOTATION

- Allowed any time prior to acceptance
- The ground should have been previously in the document
- Tenderer must be informed immediately of the rejection
- Record must be kept of the rejection

D ENTRY INTO FORCE OF PROCUREMENT CONTRACT

- The successful tender should have been adjudged the best evaluated offer
- Notice of acceptance of offer shall be given within 30 working days.

E. NOTICE OF CONTRACT AWARDS S31

- A procurement entity shall promptly publish notice of procurement contract awards
- Regulations shall provide for the manner of publication of the notice of procurement contract awards

F. INDUCEMENT FROM CONTRACTORS, SUPPLIER AND CONSULTANTS

- The tender of participants who make or accept to make an offer of inducement shall be rejected
- The Offering and the acceptance of the offer comprise the sanctity of the process
- It is an offence under the law.

viii. METHODS OF PROCUREMENT

- Pre-Qualification (S47-48)
- International competitive Bidding (S45)
- National Competitive tender (S44)
- Restricted Tendering (S38-39)
- Price Quotation (S42-43)
- Single Source Procurement and Selection (S40-41)
- Advertisement for Expression of Interest for Consulting Service in Local Newspapers
- Least-Cost Selection
- Selection based on Source-Selection

THRESHOLDS FOR PROCUREMENT METHODS (SSCHEDULE 3)			
METHOD	GOOD	WORKS	SERVICES
PRE-QUAL	> ₵35b	> ₵70b	Up to 10% of Works
I.C.T	> ₵15b	> ₵20b	> ₵2b
N.C.T	₵ 200m-₵2b	₵500m- ₵ 15b	₵200m - ₵2b
RESTRICTED TENDERING Subject to Public Procurement Board Approval			
PRICE QUOTATION	Up to ₵200m	Up to ₵ 500	Up to ₵200

THRESHOLDS FOR PROCUREMENT METHODS (SCHEDULE 3)

METHOD	GOODS	WORKS	SERVICES
Single Source	Subject to Public Procurement Board Approval		
Expression of Interest	-	-	> ₵700
Least Cost	-	-	Up to ₵700m
Consultant's Qualification	-	-	Up to ₵350m
Single Source	-	-	Subj. to PPB

ix. TENDER PROCEDURES

a. National Competitive Tendering (S 44)

Used when procurement entity decides That only domestic contractors may submit Tenders (Schedule)

b. International Competitive Tender (S45)

Used when effective competition cannot be obtained unless foreign firms are invited to tender (Schedule 3)

c. Provision of Tender Documents (S.49)

Appropriate Standard Tender Documents provided in Schedule 4 must be used

Changes can be introduced only through tender or contracts data sheets, or through special conditions of contracts and not by introducing changes in the standard tender documents.

c. Submission of Tenders

The Procurement Entity shall,

- fix the place for, and a specific date and time as the deadline for the Submission of tenders: and
- allow tenderers at least six weeks to prepare their tenders for international competitive tendering
- the time for preparation of tenders under national competitive tendering procedures shall not exceed four weeks

(d) Opening of Tenders (S56)

Tenders shall be opened

1. At the time specified in the tender documents as the deadline for the submission of tenders or at the deadline specified in any extension of the deadline
2. The time for opening of the tenders shall be the same as the deadline for receipt of tenders or promptly after that deadline
3. A supplier or contractor who has submitted a tender or a representative of that supplier or contractor, shall be permitted by the procurement entity to be present at the opening of tenders

(e) Evaluation of Tenders

1. The procurement entity shall evaluate and compare the tenders that have been accepted in order to ascertain the successful tender in accordance with the procedures and criteria set out in the invitation documents
2. No Criterion shall be used that has not been set out in the invitation documents
3. The successful tender shall
 - a. the tender with the lowest evaluated tender and
 - b. the lowest evaluated tender ascertained on the basis of criteria specified in the invitation documents

(f) Margin of Preference

- c. Margin of preference may be granted to domestic contractors or domestically produced goods or for the domestic suppliers of services.
- d. Must be reflected in the record of procurement proceedings
- e. Subject to approval by the Public Procurement Board

(g) Acceptance of Tender

- o Tender ascertained to be successful tender in accordance with the Act shall be accepted
- o Notice of acceptance of the tender shall be given within 30 days of the acceptance of the tender to the supplier or contractor

x. RIGHT TO REVIEW

Any supplier, contractor or consultant that claims to have suffered loss or injury due to a breach of a duty imposed on the procurement entity by this Act, may seek review

xi. DISPOSAL OF STORES, PLANT AND EQUIPMENT (S83)

Head of a procurement entity shall convene a Board of Survey comprising representatives of department with unserviceable, obsolete or surplus stores, plant and equipment which shall report on the items and subject to a technical report on them, recommend the best method of disposal

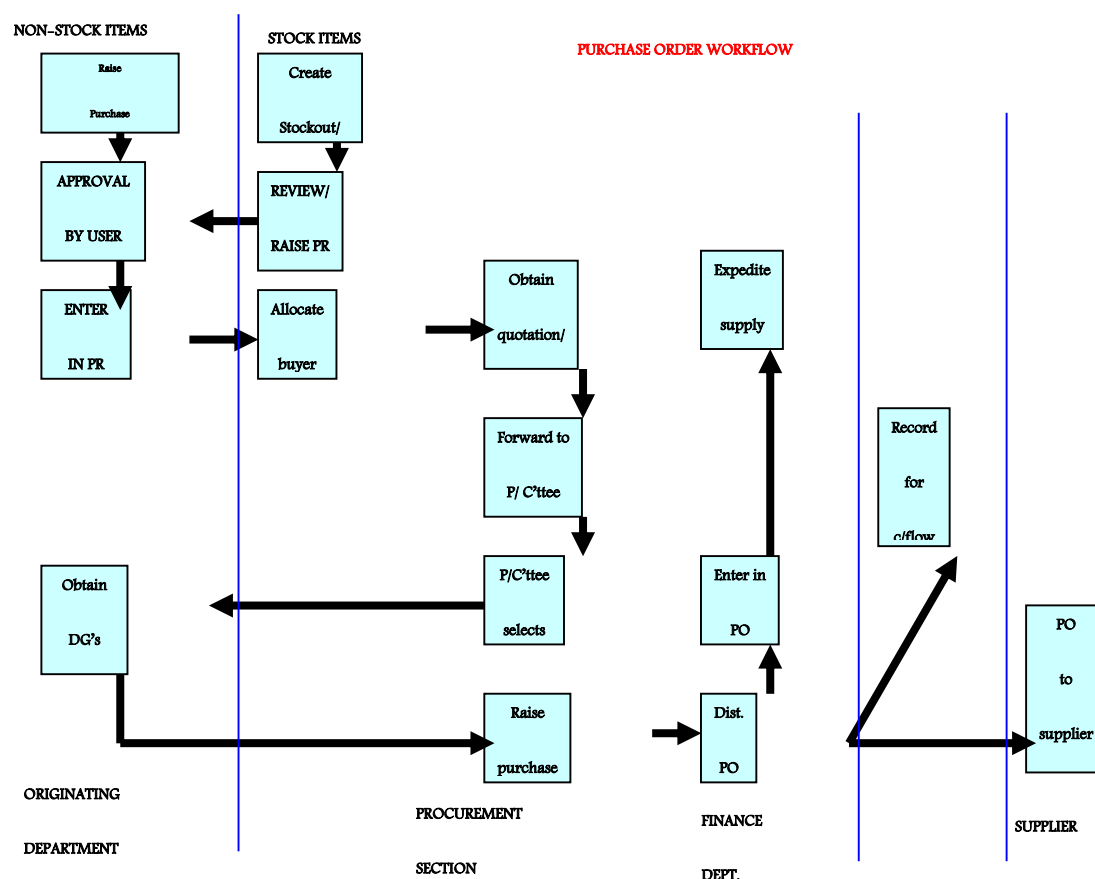
xii. OFFENCES RELATING TO PROCUREMENT (S92)

Any person who contravenes any provision of this Act commits an offence and where no penalty has been provided for the offence, the person is liable on summary conviction to a fine not exceeding 1000 penalty units or a term of imprisonment not exceeding five years or to both

xiii. INTERNATIONAL OBLIGATION (S.96)

Notwithstanding the extent of the application of the Act, Procurement with international obligation arising from any grant or concessionary loan to the government shall be in accordance with the terms of the grant or loan.

7. PURCHASE ORDERS



8. DETAILS OF PURCHASE ORDER.

- i. Purchase Order number and Date.
- ii. Expected delivery date.
- iii. Supplier's name & address.
- iv. Quantity ordered & description.
- v. Unit price, line total, total order value.
- vi. Delivery mode.
- vii. Payment terms.
- viii. Quotation reference and date.
- ix. Initiator's name and cost code.

9. WORKS ORDER,

- ✓ Services provided by a contractor may, however, include elements of physical input (i.e. goods/materials) such as in the repair of an electric motor where the contractor uses spare parts and components.
- ✓ Services for carrying out work can be requisitioned by any Department and will be initiated by raising a “Works Order” form.
- ✓ The Request for Service form will indicate the following:
 - Name of Originator, Department Name.
 - Date of Requisition.
 - Cost Code for charging the cost.
 - Description of Services Required, including name and identification of any asset (i.e. plant & equipment, building, facility) for which services required.
 - Estimated Value of Service.
 - Date of Completion.
 - Remarks (name of contractor, if known).
 - Authorisation for services should be in accordance with stipulations in the manual of Authorities.

After authority has been received for the service, the Request for Service Form is sent to prospective contractors through the Procurement section for quotation.

Once a price has been agreed for the service the Originating Department will:

- Indicate the agreed price.
- Sign the Request for Service Form.
- Complete details of any parts/components supplied by GACL.
- Record details of any equipment/machinery being sent out for service.
- Distribute the completed form as follows:

Original - Contractor

Duplicate - Procurement Section

Triplicate - Finance Department

Quadruplicate - Originating Department.

Department originating service requests will, for expediting and record purposes, maintain a register of all orders and their status.

The requisitioning, issue and receipt of any stock items and the movement thereof and of any GACL equipment will be subject to the applicable Stores and Security procedures.

✓ **APPROVAL OF PURCHASE ORDER**

- Purchase orders are approved by:
- User Head of Department(HoD)
- MANAGING DIRECTOR, DIRECTOR OF FINANCE.

- **DISTRIBUTION OF PURCHASE ORDER**

- Original - Supplier.
- Duplicate - Finance Department.
- Triplicate - Stores Manager/User Department.
- Quadruplicate - Book copy (Procurement).

CHAPTER 7

PAYROLL

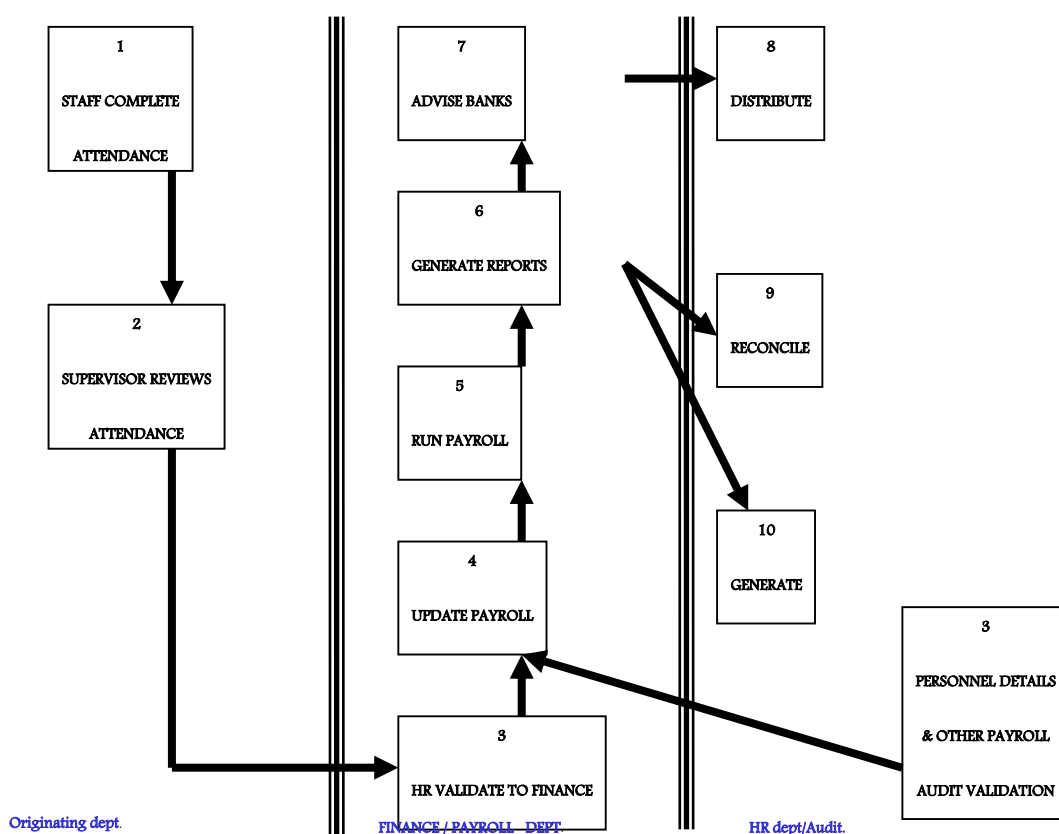
POLICY SCHEDULE	
Policy Title	Payroll Policy
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

1. INTRODUCTION

The purpose of these procedures is to provide Departments within GACL with guidelines on the following aspects of local payroll administration:

- Recruitment/engagement of new employees and discharging employees
- Maintaining personnel records.
- Leave administration
- Time and attendance records
- Payroll preparation and payment of salaries and salary advances.

The payroll process



2. PAYROLL FUNCTION

- ✓ The primary purpose of the payroll function is to ensure that company employees are paid on time for the work carried out by them under their respective individual contracts of employment, or in accordance with the prevailing conditions of the collective agreement between GACL and the (Public Service Workers Union (PSWU).
- ✓ The names recorded on payroll records are only those of employees who have been properly offered employment/contract by GACL.
- ✓ An accurate and up to date database record of employees will be maintained.
- ✓ The personal details recorded in respect of each employee have been verified and are accurate.

- ✓ Any additions and deletions to payroll records and any changes made thereafter to these records are properly authorised, documented and recorded.
- ✓ Only authorised persons have access to payroll records.
- ✓ Employees will receive their due remuneration, including overtime and allowances, in accordance with their terms and conditions of employment.
- ✓ An accurate record is maintained of leave entitlements, leave taken and leave outstanding for each employee.
- ✓ Payroll costs are recorded and accounted for accurately in the financial records of GACL.
- ✓ There are four types of reconciliations prepared and reviewed each time the payroll is run:
 - i. Basic Pay Reconciliation-gross salary amounts for the month are compared with the same amounts for the previous month.
 - ii. Labour Cost-percentages of overtime and other allowances against base pay are compared to the previous month.
 - iii. Overtime Hours-the percentage of overtime hours against standard hours is compared to the previous month.
 - iv. Basic Pay Differences-the base rate of pay for each individual is compared with the base rate paid in the previous month.

3. COMMENCEMENT OF EMPLOYMENT

- i. On commencement all new employees will first report to the Human Resources Department (HRD).
- ii. Employees who may not have already completed a Personal Data Form will be required to do so.
- iii. The HRD will assign a staff number to every new employee and input staff personal profile.
- iv. The new employee is referred to the Security Department to be screened and issued with an Identification Tag.
- v. If the results of the medical examination prove successful the HRD may give the employee an introductory letter to open a bank account if he/she does not have one.
- vi. The HRD will advise the Finance Department-Payroll Office of the new employee and his pay conditions. The Employee Status Change form will be used for this purpose
- vii. The HRD will commence induction of the new employee into GACL, in accordance with the programme determined for him/her. The induction programme will cover the following;
 - General terms and conditions of service
 - Accommodation and meal arrangements
 - Social Security registration
 - Safety briefing
 - Payroll details
- viii. The Human Resources Department will complete an Induction Checklist for every new employee, ensuring that new recruits are properly introduced to GACL.
- ix. On completion of the induction programme, the employee reports to his/her nominated department in GACL.

4. TIME AND ATTENDANCE RECORDS

- i. Department Heads will maintain attendance records for all General Staff.
- ii. Details of attendance at work will be supplied to Payroll by supervisors in the various departments before the start of each payroll process.
- iii. The Payroll Accountant will review the attendance records and liaise with the Personnel Manager to resolve any queries.
- iv. Overtime and other allowances will be paid in accordance with the Collective Agreement between GACL and PSWU.
- v. Clocking system shall be introduced to management staff attendance and for payroll administration
- vi. On receipt of approved leave forms, the HRD will advise Payroll. Individual employees' personal files will then be updated with leave particulars.

5. PAYROLL RUN

- i. GACL runs a monthly payroll for all its employees, covering the first day of each month to the last day of the month.
- ii. All salary payments are made by direct credit to employee's bank account. Contract employees, Casuals and National Service Persons are however paid by cheque.
- iii. Actual pay dates are set by agreement with the Public Services Workers Union and Senior Staff representatives. Once agreed these will be published and circulated to all Departments for display on the company's Notice Boards.
- iv. The Payroll is run after all inputs for overtime, allowances and loan deductions have been made. Similarly, Social Security, PAYE tax and other payroll deductions are effected during the Pay run.
- v. Reports generated from the pay run are then reconciled with the preceding month's payroll and reviewed by the Treasurer .
- vi. The detailed Payroll is then forwarded to the Director of Finance for his approval after which the Director of Human Resources countersigns to attest that all the employees on the payroll are indeed active.

- vii. The Finance Department instructs the bank to pay the employees by electronic transfer to individual bank accounts of the employees.
- viii. Pay Slips are then generated and distributed to employees.
- ix. Payroll journals are raised by the Finance Department and input into their relevant General Ledger accounts. Also cheques are issued for PAYE, SSF and other Payroll creditors.
- x. The payroll journal allocates the cost of labour and personnel to each cost centre on the basis of its usage. It also creates the journal entries for salary deductions, such as personal income tax, social security contributions etc., and enables the Treasurer to reconcile Gross Pay for the total payroll.

6. PAYROLL REPORTS

- i. Employees' reconciliation report will be generated from the payroll system. The report will reconcile current month's staff numbers to previous month's numbers. Movement of staff who are no longer in employment, staff who have been employed within the month and staff who have been transferred from one department or section to another will be displayed on the report
- ii. A Basic salary reconciliation report will be generated from the payroll system. The report will show total current month's basic salary by category (i.e. senior staff, general staff etc.) reconciled to the total of previous month's basic salary. In this report names and basic salaries of staff terminated or employed within the month will be displayed as reconciling items. Departmental and sectional overtime statistics will be generated from the payroll system. The report will show on a current month and year-to-date basis, overtime costs by department or section as a percentage of basic salary.
- iii. Reports on all deductions and allowances paid will be generated from the payroll system filed for future reference.

- iv. Reports will be generated for all payroll liabilities such as PAYE, SSF, Staff credit purchases etc. and forwarded to the Disbursement Officer for cheques to be issued to the respective organisations.

7. DISCHARGE OF EMPLOYEE

- I. The termination of employment of Union Workers is governed by the Collective Agreement under which they are employed. Other employees' terminations are governed by the terms and conditions of their appointment.
- II. Upon termination of an employee, for whatever reason, including his/her resignation, the Department Head of the respective Department and/or the Disciplinary Committee (in the case of involuntary termination) will advise the HRD of the discharge and the conditions of discharge.
- III. The HRD will update affected employee's personal details file and advise the Payroll Accountant of the final entitlement due to the employee.
- IV. Where termination does not coincide with the close off of payroll period, the Payroll Accountant will manually compute all dues to/from the employee upon discharge and arrange for its settlement immediately, and subsequently terminate discharged employees records from payroll to ensure that no further payments are made to that employee.
- V. Where the discharge coincides with a payroll cut-off date the final payment to the employee is generated through the system as part of the Payroll Run.

CHAPTER 9

NON-CURRENT ASSETS

POLICY SCHEDULE	
Policy Title	Non-Current Accounts
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Financial Accountant

I. INTRODUCTION

The following policies and procedures document a fixed asset system designed to comply with all statutory requirements and increase control over those assets for which the company has control.

A. PURPOSE

- ✓ To guide personnel when dealing with capital expenditure, purchase and disposal of fixed assets.
- ✓ To provide guidance on other aspects of fixed asset accounting such as depreciation and revaluation.
- ✓ Provide centralized documentation for insurance
- ✓ To meet reporting standards and generate asset management information.

B. POLICY

The policy of the company is to *capitalise, control, maintain and account for* all its non-current assets (property, plant and equipment, motor vehicle and intangibles) which have life beyond one calendar year.

C. CLASS OF NON-CURRENT ASSETS

The list below describes the categories of non-current assets most commonly used in the organisation. The list is not limited to this but may be added to only with the prior approval of the Finance Director.

i. Land and building

Land include runway, parking grounds, roads and other roads.
Buildings include terminal, office buildings and staff bungalows.

ii. Furniture and fitting

These are household and office furniture and fittings.

iii. **Plant and equipment**

Plant and equipment include airfield, security and safety, electrical, mechanical office and car park equipment, as well as computers.

iv. **Motor vehicles**

All motor vehicles including motorised, Trucks, Cars, motor cycles, etc.

v. **Capital Work-in-Progress (CWIP)**

Work-in-progress includes all expenditures directly related to building, construction, renovations, or additions. These costs include contract costs (materials, labour, and overhead) as well as professional fees and interest incurred during the construction period.

A CWIP asset reflects the cost of construction work undertaken, but not yet completed. For CWIP assets, no depreciation is recorded until the asset is placed in service. When construction is completed, the asset should be reclassified as building, building improvement, land improvement, or equipment and should be capitalized and depreciated.

vi. **Leases**

Leases other than operating leases are recorded as debt on the financial statements. The payments (except for certain portions that are made for taxes, utilities, maintenance, insurance or any other executory costs) are recorded as repayment of debt and interest expense, and the asset is recorded on the balance sheet as an asset.

Leases that meet one or more of the following criteria will be classified as capital leases.

- ✓ The lease transfers ownership of the property to the lessee by the end of the lease term.
- ✓ The lease contains a bargain purchase option.
- ✓ The lease term is for major part of estimated economic life of the asset.
- ✓ The present value, at the beginning of the lease term, of the minimum lease payments equals substantially all of the fair value of the leased assets.

D. APPROVAL OF CAPITAL EXPENDITURE

Approval of capital expenditure is formalised by the preparation of an **Application for Capital Expenditure (AFE) Form** (Appendix.) for budgeted items.

Where the capital item has not been budgeted for a business case shall be made. Completion of this will require inclusion of the following information: -

- i. Date
- ii. The name of the initiator
- iii. The department seeking the expenditure.
- iv. Indication as to whether the expenditure is budgeted or unplanned.
- v. Project title
- vi. Description of the project.
- vii. Project account code
- viii. Comparison of estimated cost with the amount budgeted for the expenditure where applicable.
- ix. Estimated useful life of the asset in years.
- x. Proposed commencement date
- xi. Estimated completion date
- xii. Justification for the expenditure.
- xiii. Recommendations by Director of Finance

E. CAPITAL EXPENDITURE ON NEW ASSETS

The procedures involved in the acquisition of new assets are outlined below:

- i. Approval to purchase is obtained by user department through authorised Application for Capital Expenditure (AFE).
- ii. On receipt of the duly authorised AFE the Financial Accountant allocates a project cost code for the proposed asset.
- iii. A purchase or works order is raised to enable purchase of the required asset.
- iv. The purchase of the asset is arranged and it is brought onto site.
- v. All costs associated with the purchase of the asset including freight and handling charges incurred where purchased outside of Ghana and installation costs, where relevant, are accumulated against the project cost code.
- vi. Project cost codes are classified in the general ledger.
- vii. The Finance Department will monitor the accumulation of costs in the project cost code and compare the lapse of time for completion to the estimate of time to be taken to complete the project as indicated on the AFE.
- viii. The Finance Department is to follow up with the User Department on a regular basis to ascertain when the asset is first placed into regular use. The asset is transferred to the company's Fixed Assets Register.

F. Property, Plant and Equipment Capitalisation Policy

This policy establishes the minimum cost value (capitalization amount) that shall be used to determine the capital assets, including infrastructure assets that are to be recorded in the annual financial statements in order to comply with the requirements of IFRS.

This policy also addresses other considerations for recording and depreciating PPE in order to comply with the provisions of IFRS.

Capital Asset definition

Capital assets are defined as tangible and intangible assets that have initial useful lives that extend beyond a single reporting period.

Capitalization method

All capital assets are recorded at historical cost as of the date acquired or construction completed and modified by periodic revaluation of Buildings and Airport Infrastructure.

Cost includes purchase price plus all related costs necessary to bring the asset to the location for its intended use.

1. **Purchased Assets** – The recording of purchased assets shall be made on the basis of actual costs, including all ancillary costs, based on vendor invoice or other supporting documentation.
2. **Constructed Assets** – All direct costs (including labour) associated with the construction project shall be included in establishing the asset cost. Borrowing costs including underwriting costs, legal and accounting fees, interest charges etc., as well as administrative overhead charges associated with the project will also be capitalized.
3. **Donated Assets** – Fixed assets acquired by gift, donation, or payment of a nominal sum not reflective of the asset's market value shall be assigned cost equal to the fair market value at the time of receipt.

Costs that are associated with the repair and maintenance of an item to keep it operational should not be included in the asset value and should be expensed in the period in which they occur. However, costs for repairs that significantly increase the value or useful life of the PPE should be capitalized and included in list of PPE.

Asset Salvage Value

The salvage (or residual) value of a PPE is the value it is expected to have when it is no longer useful for its intended purpose. In other words, the salvage value is the amount for which the asset could be sold at the end of its useful life. This value can be based on (1) general guidelines from some professional organizations, (2) internal experience, or (3) professionals such as engineers, architects, valuers, etc.

Capitalization thresholds

The capitalization threshold is the minimum purchase amount of an item that would require it to be recorded as a PPE and capitalized, rather than expensed as a period cost. The Company establishes the following minimum capitalization thresholds for capitalizing PPE:

	GHS
Land and improvements	Unlimited
Buildings and infrastructure	20,000
Building improvements	20,000
Plant and Machinery	10,000
Workshop Tools	5,000
Motor Vehicles	20,000
Furniture and Equipment	5,000

All PPE of cost equal to or above these amounts will be recorded and maintained in the Fixed Asset Register and also reflected in the Annual Financial Statements in the Fixed Asset Schedules under Property, Plant and Equipment as Tangible and Intangible Assets.

Asset Classification

PPEs should be categorized into the following classes of assets:

- Land
- Land improvements and infrastructure
- Buildings
- Plant and Machinery
- Motor Vehicle
- Furniture and Equipment,
- Capital work in progress
- Intangible Assets

General Policy for Capitalization

PPEs should be capitalized as follows:

- All land acquisitions
- All buildings acquisitions
- Building renovations and improvements projects costing GHS20,000 or more
- Land improvements and infrastructure projects costing GHS20,000 or more, and,
- Equipment costing GHS10, 000 or more with a useful life beyond a single reporting period (generally one year).
- Library books (cost of acquisition should be writing off in the period of acquisition)
- Intangible assets of internally generated computer software costing GHS500,000 or more or GHS100,000 or more for all other intangible assets.

Purchases of equipment acquired through a debt financing arrangement meeting the capital lease criteria under IFRS should be considered for capitalization. In general, any item of PPE acquired under any such lease arrangement in excess of GHS5,000 will be capitalized regardless of whether the individual item under lease arrangement do not qualify as a PPE based on the minimum GHS5,000 threshold.

Land

The recorded cost of land includes

(1) the contract price; (2) the costs of closing the transaction and obtaining title, including commissions, options, legal fees, title search, insurance, and past due taxes; (3) the costs of surveys; and (4) the cost of preparing the land for its particular use such as clearing and grading. If the land is purchased for the purpose of constructing a building, all costs incurred up to the excavation for the new building should be considered land costs. Removal of an old building, clearing, grading and filling are considered land costs because they are necessary to get the land in condition for its intended purpose. Any proceeds obtained in the process of getting the land ready for its intended use, such as salvage receipts on the demolition of the old building or the sale of cleared timber, are treated as reductions in the price of the land.

(2) Capitalization of land costs include, but are not limited to, the following:

- Original contract price
- Brokers' commissions
- Legal fees for examining and recording title
- Cost of title guarantee insurance policies
- Cost of real estate surveys
- Cost of an option when it is exercised
- Special paving assessments
- Cost of excavation, grading or filling of land and razing of an old building
- Cost of cancellation of unexpired lease
- Payment of noncurrent taxes accrued on the land at date of purchase, if payable by purchaser

Buildings and Infrastructure

Capitalization of building costs include, but are not limited to, the following:

- Original contract price of cost of construction
- Expenses incurred in remodeling, reconditioning, or altering a purchased building to make it available for the purpose for which it was acquired.
- Expenses incurred for the preparation of plans, specifications, blueprints, etc.
- Cost of building permits
- Payment of noncurrent taxes accrued on the building at date of purchase, if payable by purchaser
- Architects' and engineers' fees for design and supervision
- Costs of temporary buildings used during the construction period

Building Renovations

A building renovation is defined as enhancements made to a previously existing building component. Any renovation to a building must at a minimum meet the following criteria to qualify as a PPE:

1. The total project cost must be more than GHS20,000
2. The renovation must extend the useful life or capacity of the asset

Building Improvements

An improvement to a building is defined as adding a new component where one did not previously exist. The improvement must cost more than GHS20, 000 and have an initial useful life extending beyond a single reporting period (generally one-year).

Land Improvements

Land improvements include items such as excavation, non-infrastructure utility installation, Runway, Taxiway, Apron, parking grounds, roads and other roads, parking lots, fencing, and other non-building improvements intended to make the land ready for its intended purpose. Land improvements can be further categorized as non-exhaustible and exhaustible. Expenditures for land improvements that do not deteriorate with use or passage of time are additions to the cost of land and are generally not exhaustible, and therefore not depreciable.

Infrastructure assets are defined as long-lived capital assets that normally are stationary in nature and normally can be preserved for a significantly greater number of years than most capital assets. Examples of infrastructure assets include runway, parking grounds, roads and other roads, sewer systems and lighting systems.

Improvements to infrastructure or land improvements which extend the useful life or capacity of the asset and meet capitalization thresholds will be capitalized as a separate asset/component and depreciated over its estimated useful life

Equipment and Leased Equipment

Equipment should be capitalized if the lease agreement meets any one of the following criteria:

- The lease transfer ownership of the property to the Company by the end of the lease term.
- The lease contains a bargain purchase option.
- The lease term is equal to 75 percent or more of the estimated economic life of the leased property.
- The present value of the lease payments at the inception of the lease, excluding executory costs, equals at least 90 percent of the fair value of the leased property.

Leases that do not meet any of the above requirements should be recorded as an operating lease.

Capitalization of equipment costs include but are not limited to, the following:

- Original contract or invoice cost
- Freight, import duties, handling and storage costs
- Specific in-transit insurance charges
- Sales, use and other taxes imposed on the purchase
- Costs of preparation of foundations and other costs in connection with making a proper site for the assets
- Installation charges
- Costs for reconditioning used equipment to make it usable for the purpose it was purchased

Improvements to existing items of PPE which extend the useful life or capacity of the asset and meet capitalization thresholds **will be capitalized as a separate asset/component and depreciated over its estimated useful life.**

Computer Software Purchased computer software costing GHS500,000 or more with a useful life beyond a single reporting period (generally one-year) should be capitalized.

G. RENOVATION/IMPROVEMENT OF FIXED ASSETS/REFURBISHMENT COSTS

Any expenditure incurred for the purpose of increasing profit either positively by way of increasing the revenue-earning capacity of the asset.

Where expenditure is for the maintenance of earning capacity including the upkeep of the fixed assets and the cost of selling then, it should be treated as revenue expenditure and written off to Profit and Loss accounts.

The size of the amount will influence its treatment. Large expenditures on renovation improvement should be capitalised while small amounts are treated as revenue expenditure and written off immediately to the profit and loss account.

GACL incurs expenditure on major refurbishment of KIA, the Regional Airports and various equipments. The company has a policy of writing off these costs on a monthly basis over the estimated extension period to the life of the asset.

The procedures involved in expenditure on refurbishment costs are outlined below:

- i. Approval for expenditure is obtained by the user department authorised by Application for Capital Expenditure (AFE).

- ii. On receipt of the duly authorised AFE the Financial Accountant allocates a project cost code for the proposed expenditure.
- iii. Expenditure is accumulated during each month against the project cost code.
- iv. The Finance Department is to write off the calculated portion of the balance of each refurbishment cost project account at the close of each accounting month in accordance with the deemed extended life of the asset.
- v. The Finance Department is to continue to monitor the aggregate of expenditure on each refurbishment project to ensure that it remains within AFE approval limits.

RECOGNITION CRITERIA

The cost of an item of PPE shall be recognised as an asset if and only if:

- ✓ It is probable that economic benefit associated with the item will flow to the entity; and
- ✓ The cost of the item could be measured reliably.

H. Depreciation

Depreciation is the process of allocating the cost of tangible property over a period of time, rather than deducting the cost as an expense in the year of acquisition. Generally, at the end of an asset's life, the sum of the amounts charged for depreciation in each accounting period will equal original cost less the salvage value.

Depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted as appropriate.

Accounting for depreciation shall be as follows:

- a) Each part of an item of PPE that is capitalized shall be depreciated separately.
- b) The depreciation charge for each period shall be recognised in profit and loss unless it is included in the carrying amount of another asset.
- c) The depreciable amount of an asset shall be allocated on a systematic basis over its useful life. The residual value and the useful life of an asset shall be at least at each financial year-end.
- d) The period over which the asset is depreciated varies according to the category of the asset. Director of Finance is responsible for allocating a useful economic life to each fixed asset where expenditure has been capitalised.
- e) Depreciation is provided for on a straight-line basis at rates calculated to write off the gross value of each fixed asset over its estimated useful life.

Information Needed to Calculate Depreciation

To calculate depreciation on a PPE, the following five factors must be known:

- the date the asset was placed in service
- the asset's cost or acquisition value
- the asset's salvage value
- the asset's estimated useful life, and
- the depreciation method.

Estimated Useful Life

Estimated useful life means the estimated number of months or years that an asset will be able to be used for the purpose for which it was acquired. Eligible PPEs should be depreciated over their estimated useful lives. When an asset is added to the system, depending upon the sub-category of fixed assets selected, a corresponding estimated useful life would be assigned.

Depreciation Method

The Company has established the straight-line methodology for depreciating all PPEs. Depreciation will begin in the month the asset is placed in service. Under the straight-line depreciation method, the basis of the asset is written off evenly over the useful life of the asset. The amount of annual depreciation is determined by dividing a PPE's cost reduced by the salvage value, if any, by its estimated life. The total amount depreciated can never exceed the asset's historic cost less salvage value. At the end of the PPE's estimated life, the salvage (or residual) value will remain.

Useful Life Schedule

The major categories of property, plant and equipment are amortised at the following annual rates:

- | | |
|---------------------------------------|--------------|
| • Buildings | 2.5 – 16.67% |
| • Roadways systems | 3.33 – 5.0% |
| • Parking facilities and lots | 2.5 – 6.67% |
| • Runway, taxiways and apron surfaces | 2.5 – 6.67% |
| • Other facilities | 2.5 – 5.0% |
| • Vehicles and maintenance equipment | 12.5 – 20.0% |
| • Furniture and equipment | 10.0 – 20.0% |
| • Computer hardware | 25.0 – 50.0% |

Operating equipment under finance lease over the term of the lease

I. Derecognition

The carry amount of an item of property, plant and equipment shall be derecognised:

- ✓ On disposal
- ✓ When no future economic benefits are expected from its use or disposal.
- ✓ When fixed asset is sold or otherwise disposed, a profit or loss may arise. This is the difference between the total sale proceeds, less the cost of disposing off the asset, and the net carrying amount of the asset.

J. INTANGIBLE ASSETS

The entity shall recognise an identifiable asset without physical substance such as design and implementation of new processes or systems, licenses, intellectual property, market knowledge and trademarks etc.

Intangible assets are those that lack physical substance, are non-financial in nature and have an initial useful life extending beyond a single reporting period. Intangible assets must be identifiable, meaning they are either capable of being separated by means of sale, transfer, license or rent, or they arise from contractual or other legal rights.

Intangible assets acquired or developed by the Company could include licensed software, internally generated computer software. Other examples include patents, copyrights and trademarks, permits and licenses, easements, and land use rights (e.g., water, timber or mineral rights).

The value of certain intangible assets, such as land use rights or easements, may already be included in the reported value of the associated real property asset. In these instances, although the individual rights associated with the property are separable and intangible in nature, collectively they represent the ownership of a tangible asset. Therefore, the value of the individual rights should remain aggregated and reported as a tangible capital asset, not separately as an intangible asset.

The additional recognition requirements for intangible assets apply to internally generated computer software. In this regard, the activities involved in creating (and/or significantly modifying commercially available) software need to be evaluated to determine if the internal costs meet the criteria for capitalization.

The software must be acquired, internally developed, or modified solely to meet internal needs and there must not be a substantive plan to market the software externally to other organizations. Software development generally involves three phases. These phases and their characteristics are as follows:

- Preliminary project phase - when conceptual formulation of alternatives, the evaluation of alternatives, determination of existence of needed technologies and final selection of alternatives is made.
- Application development phase - Design of chosen path including software configuration and software interfaces, coding, installation of computer hardware and testing, including parallel processing phase.
- Post-implementation/operation phase - training and application maintenance activities.

Costs associated with the preliminary project and the post-implementation/operating phases should be expensed as incurred. Internal and external costs associated with the application development phase should be capitalized. Costs to develop or obtain software that allows for access or conversion of old data by new information systems should also be capitalized. General and administrative costs and overhead expenditures associated with software development should not be capitalized as costs of internal use software.

Recognition

Intangible asset shall be recognised in the company's books if and only if:

- It is probable that the expected future economic benefits that are attributable to the asset will flow; and
- The cost of the asset can be measured reliably.

The probability of the expected future economic benefits that are attributable to company shall be assessed using reasonable and supportable assumptions that represent management's best estimate of the set economic conditions that will exit over the useful life of the asset.

The following intangible assets will be capitalised and amortized for its economic life:

- Airside Billing Software
- Cargo Software

Upgrades and enhancements are defined as modifications to existing internal-use software that result in the ability for the software to perform tasks that it was previously incapable of performing. In order for costs of specified updates and enhancements to internal-use computer software to be capitalized, it must be probable that those expenditures will result in additional functionality, increased efficiency, or the extension of the estimated useful life. If the modification does not result in any of these outcomes, the costs should be considered routine maintenance and be expensed as incurred.

Register for PPE not capitalized All items of PPE that do not meet the capitalization criteria will be expensed through the Income Statement in the period of acquisition.

Detailed records, however, will be maintained for all items of PPE **below** the capitalization thresholds that should be safeguarded from loss in a special register labelled “**Register For PPE Not Capitalized**”. Items in the register will have the same information as the Fixed Asset Register for capitalized items except that there will be no rate of depreciation and no depreciation will be calculated and recorded for the items. The register must specify the location and, if applicable, the name of the member of staff the item will be issued to. These items shall be made part of the annual physical inventory counts. These items include all Computer Equipment, Motor Vehicles, and other Office Equipment that fall below the established thresholds for capitalization and any other items of PPE acquired that the Director of Finance might specify due to the need to ensure that such an item is kept on the register to ensure the control and safeguarding of the item. **Safeguarding and controlling fixed assets**

All machinery and equipment, vehicles and furniture is assigned an asset number and identified with a fixed asset tag. As fixed assets are purchased or disposed of, the department head in custody of that asset is responsible for preparing a fixed asset data sheet, which is then forwarded to the Finance department to ensure proper recording. . The results are forwarded to the Finance Department where appropriate adjustments will be made to the PPE records. Verification of asset will be done every two (2) years by a team comprising of Finance, Commercial and Technical department’s representatives.

K. Fixed Asset Register

POLICY

The Finance Department will maintain a record of all fixed assets in a Fixed Assets Register. The register will contain sufficient information for maintenance and insurance. The register will show:

- i. Asset name and full description
- ii. Type of Assets
- iii. Asset classification (e.g. plant, equipment).
- iv. Asset sub-classification (e.g. computer terminal, printer etc.)
- v. Code/Reference
- vi. Serial Number
- vii. Supplier
- viii. Country of Origin
- ix. Date of Purchase
- x. Make/Model
- xi. Mode Number
- xii. Date of Purchase
- xiii. Estimated Useful Life
- xiv. Location
- xv. Department

- xvi. Method and rate of Depreciation
- xvii. Date of Disposal
- xviii. Insured Value
- xix. Cost/Revaluation/Net Book Value/Fair Value
- xx. Nature of major Servicing
- xxi. Scrap Value/Residual Value
- xxii. Percentage rate of depreciation for accounting and taxation purposes

CODING OF FIXED ASSETS

- b) This section is to provide a system designed to be applied to classify set of fixed assets to give a brief accurate reference facilitating entry, collation and analysis. It is also to provide classification of fixed Assets in logical groups having regards to their nature or the purpose to be fulfilled.
- c) **Responsibilities for coding of Fixed Assets**
The Director of Commercial Services has overall responsibility for ensuring that fixed assets are correctly coded in the Assets Register
- d) **Procedure for Coding**
Assets should be coded with reference to the abbreviation of the company, Departmental prefix and followed by series of numbers according to the type of Assets

Eg. **GACL/KIA/FIN/PM/001**

GACL	-	Ghana Airports Company Limited
KIA	-	Kotoka International Airport (Location)
FIN	-	Finance Department
PM	-	Plant and Machinery
01	-	Number Series of that particular Asset

L. ASSET TRANSFER

The custodian department is accountable for all Assets inventories and the head of department is the authorised officer to sanction any movement of asset.

Where an asset has to be moved from one location to the other, the Asset Transfer Form (ATF) has to be completed and signed by the Heads of Departments of both releasing and receiving departments.

The transfer process will be supervised by the Commercial Department and copies of the ATF dispatched to Finance and all relevant departments.

TEMPORARY TRANSFER

ATF will also be completed in respect of Assets items taken for repairs, the type of repairs and when it will be completed and returned.

M. REVALUATION OF ASSET

The company will revalue some of its asset which value can be measured reliably. The revaluation will be done every five years and will be carried out by independent valuers. The fair value of asset will be determined from market-based evidence by appraisal.

If there is no market-based evidence of fair value because of the specialised nature of the asset, and the item is rarely sold, except as part of a continuing business, the company will estimate fair value using an income approach or a depreciated replacement cost approach.

The entire class asset will be revalued to avoid selective revaluation of certain assets and financial statement showing both assets atcost and revalued figures for a particular class of PPE and to meet the requirement of IFRS for revaluation of all items of a class of PPE when one item in that class of assets is revalued.

ACCOUNTING FOR REVALUATION

Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset and the net amount restated to the revalued amount of the asset.

If the asset's carrying amount is increased as a result of a revaluation, the increased shall be recognised in Other Comprehensive Income and accumulated in equity under the heading of Revaluation Surplus. However, the

decrease shall be recognised in the profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss.

If an asset's carrying amount is decreased as a result of revaluation, the decrease shall be recognised in profit or loss. However, the decrease shall be recognised in Other Comprehensive Income to the extent of any credit balance existing in the revaluation surplus in respect of that asset. The decrease is recognised in Other Comprehensive Income the amount accumulated in equity under the heading of revaluation surplus.

N. DERECOGNITION

The revaluation surplus included in equity in respect of an asset shall be transferred directly to retained earnings when the asset is derecognised.

O. DISPOSAL OF ASSETS

Disposal of fixed assets require the authorisation of the Managing Director.

The Department Head responsible for the asset to be disposed will complete an Assets Disposal Form .The information to be provided by the Department Head are as follows:

- ✓ Name of Department.
- ✓ Description of asset.
- ✓ Location of asset
- ✓ Condition of asset
- ✓ Custodian of asset.
- ✓ Reasons for disposal.

The form will then be forwarded to the assets disposal committee who will inspect the asset and provide the following information:

- ✓ Date of inspection
- ✓ Date of acquisition
- ✓ Cost of asset
- ✓ Depreciation to date of disposal
- ✓ Net book value
- ✓ Estimated Realisable Value

The Assets Disposal Committee will make recommendations on mode of disposal for the Managing Director's approval.

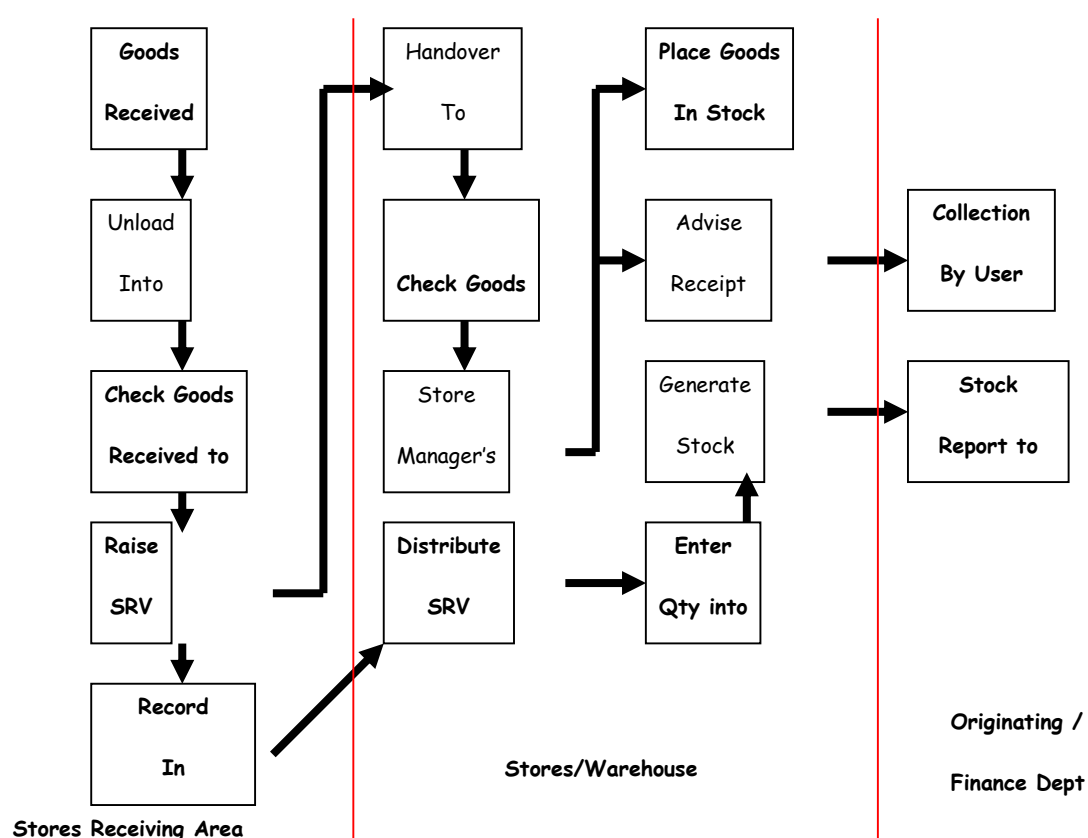
- The Assets Disposal Committee will advise Finance of the disposal.
- The assets disposal committee will ensure that the disposed asset is paid for before it is released to the purchaser.
- The Finance Department will immediately pass the appropriate journal entries to determine the profit or loss made on the disposal and to remove the asset from the Fixed Assets Register.

CHAPTER 10

STORES

POLICY SCHEDULE	
Policy Title	Stores
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Financial Accountant

GOODS RECEIVED WORKFLOW(STORES)



The stores procedures are aimed to ensure that:

Stores intended for GACL are budgeted for and rightfully acquired;

Stores are not received or issued without appropriate documentation;

The store is kept under lock and key to prevent unauthorised people from gaining access.

Items held in store are usually consumables for operational use and the categories are as follows:

- Stationery
- Electrical
- General goods
- Fire supplies

1. OBJECTIVES

The objectives of the company's Stores Function are to:

- a. Receive goods on behalf of all Departments of GACL and ensure that these are handled correctly and safeguarded against loss, abuse or damage.
- b. Facilitate the uninterrupted supply of goods required by User Departments in a timely manner so as to ensure the smooth operations of the company's activities.
- c. Maintain the optimum level of inventory of all stores items, goods and materials required for its operations.
- d. Ensure the accuracy of stock records and that these are at all times representative of the physical inventory held.

2. RECEIPT OF GOODS INTO STORE

This procedure covers the principles and practices necessary to manage the receipt of goods and materials from suppliers.

- a) Goods will be received/accepted only at the Receiving Bay. The following conditions will apply to the receipt of goods.
- b) Access to the receiving bay is through a gate, which will lock and key operated respectively by a security guard and a stores personnel. The stores personnel is to be present before and during the whole unloading process.
- c) No unauthorised personnel will be allowed in the area.
- d) The Supplier is to provide to the Stores Officer two copies of a waybill that shows the number of accompanying cases and/or packages. If the number of packages does not agree with the number stated on the waybill, the waybill is to be marked "Short Consignment" with the number of packages that are short

and the package numbers (if available). A copy of the waybill should be forwarded to the Assistant Stores Manager.

- e) Goods supplied against valid Purchase Orders (PO) only will be accepted. The description and quantity of goods listed on the waybill will be compared with the corresponding PO before acceptance.
- f) Ensure that the cases are unopened or if they have been opened for Customs purposes, that the appropriate seals are intact. Any discrepancies must be noted.
- g) If goods received are not checked at receipt, the copy returned to the Supplier will be stamped with "Goods Received Unexamined".
- h) Goods unloaded will be kept in marked-out areas until the receiving process has been completed.
- i) Goods physically too large to be accepted directly into the Receiving Bay may be unloaded outside this area, provided adequate security is arranged and transfer of these goods to the store is ensured as soon as possible.
- j) The Senior Store Keeper will check the goods received and complete a Stores Receipt Voucher (SRV). The following steps will be carried out:
- k) Each crate/packing case will be carefully opened and the Suppliers Packing List/Note retrieved. The receiving copy of the Purchase Order is to be retrieved from the Receiving "Pending Purchase Order" file. Goods are to be checked for

conformity in terms of description and quantity against the waybill, Packing List and PO. Any variations will be noted and the Assistant Stores Manager advised.

- l) An SRV will then be issued for the consignment received, with the Order Number, Supplier, Date Received and any Variations to the Purchase Order entered for each item.
- m) The Assistant Stores Manager must ensure that airfreight orders are fully received first and that the User Department is informed of the arrival of their goods.
- n) Where goods received comprise part delivery of the PO, the SRV is to be marked "Partial".
- o) The SRV will be recorded in the SRV Logbook in sequence order.
- p) The Assistant Stores Manager is to review each item and if the quantity received is the same as the Purchase Order quantity, he should tick the quantity on the Purchase Order.
- q) If there are no differences he should stamp the SRV and Purchase Order "Completed".
- r) If the quantity on the packing List is less than that on the Purchase Order he should make sure the quantity actually received is the same as the quantity shown on the Packing List.
- s) If there is no Packing List received with the goods he should write "No Packing List" on the Purchase Order copy.
- t) Where the goods have been specially packed in sealed packages and treated by the supplier against deterioration it is recommended that, if possible, the materials are checked against the Packing List without damaging their protective cover.
- u) Goods can only be received into stores upon certification of user department or originator that requirement specified has been met.

- v) If there are differences in quantities or descriptions between the Purchase Order and the actual goods received, differences should be recorded and Procurement notified.
- w) The Assistant Stores Manager ensures that the goods are correctly labeled and each item marked as received on the Purchase Order is captured into the EbizframeSoftware/System .
- x) The Assistant Stores Manager retains the Waybill, and forward copies of the PO, SRV, and any Packing List to Procurement.

ii. **Direct Purchases:**

Originating Department will be advised to take delivery of all direct purchase goods.

Upon acceptance of deliveries, Originating Departments will check the physical items against the SRV and sign the SRV.

Items not collected immediately will be held in the goods received area in the warehouse until collected by the User Department.

Arrangement should be in place for the Originating Department to have items collected with minimum delay.

A copy of the SRV will be forwarded to the Procurement section to confirm that goods ordered have been delivered within specification.

iii. **MAINTENANCE AND UPKEEP OF STOCK**

The objective of these procedures is to ensure that stock items are securely stored and maintained at their optimum stock levels.

Access to all areas of the store will be limited to authorised persons. Visitors to the store are allowed only by prior notice of Assistant Stores Manager and will at all times be accompanied by a Stores employee.

Both Goods Received and Goods Issued will be separated in a clearly defined manner from the main storage.

The Assistant Stores Manager will ensure that all doors to the stores are securely locked to prohibit any unauthorised entry.

iv. **Physical Location of Stock**

Stock items will be physically stored in the warehouse in a manner that:

Is logical and follows the classifications of stock items determined by the Stores Section, for instance items of a product group will be stored in proximity to other items of the same group.

This enables items to be reached with ease, either manually or with mechanical equipment.

It also ensures that no fusion, leakage or contamination occurs from chemical substances, that could cause a hazard to the safety of personnel employed at the site, to other materials, to buildings, or to the environment.

The manufacturer/supplier's recommendations regarding any special storage conditions must be complied with.

v. **Stores Records**

The stores Register/Bin Cards will contain complete records of all stock items and any other pertinent information relevant to these. Such information will include:

A master list of all items of stock used by GACL, showing:

- ✓ Item number.
- ✓ Description.
- ✓ Quantity on hand.
- ✓ Unit of storage, issue and supply.
- ✓ Minimum stock level.
- ✓ Average annual usage.
- ✓ Number of days/months stock held.
- ✓ Lead-time.
- ✓ Location in store.
- ✓ Special storage/handling conditions.

B) A record of the movement of stock, showing separately:

- ✓ Quantity received.
- ✓ Quantity issued.
- ✓ Quantity in stock.

C) Classification of stock by Product Group, such as:

- ✓ Stationery.
- ✓ General goods
- ✓ Electrical items, etc.

D) Classification of stock by value:

- ✓ High/medium/low unit value items.
- ✓ High/medium/low total usage values per annum.
- ✓ High/medium/low total value of stock held.
- ✓ Slow/fast moving items.
- ✓ Redundant and obsolete items.

E) Classification by criticality of items, such as:

- ✓ High : items that are crucial to operations.
- ✓ Medium : items that are required for operations but a stock-out will not impact heavily on operations.
- ✓ Low : items not absolutely essential to operations.

8. ISSUE OF GOODS

Issues of Stock items to User Departments are on Stores Requisitions (SR).

SR's are raised and authorized electronically by User Departments requiring items from stock. An authorized SR will encompass the following information:

- i. Date of request.
- ii. Cost Code of Job Number of Requesting/User Department.
- iii. Quantity Required.
- iv. Material Description.
- v. Stock Item Number
- vi. Names of Requestor and Authorizer

On receipt the SR, the Storekeeper will check for stock availability then proceed to issue and record quantity requested.

Upon receipt of the goods, the requesting employee will check and sign on the SR for items, as will the Storekeeper.

The requestor is given a copy of the SR whilst the storekeeper retain the duplicate

Employees accepting goods will ensure that the right quantity of the right goods have been issued, as indicated on the SR.

The Stores officer will compile a list of weekly issues and forward it to the Financial Accountant.

Materials Returned by User Departments will be accompanied by an authorised Stores Returned Voucher (SRV) and delivered to the Stores.

The Storekeeper accepting the returned goods will check the items as to their description, status (for example, whether they are damaged) and quantity and acknowledge receipt by signing the SRV.

A copy is handed to the requestor and the duplicate retained by the Storekeeper

Usable goods will be stored in their respective bin locations. Unusable or damaged goods will be stored in a quarantined area awaiting further instruction from the Financial Accountant.

9. PHYSICAL VERIFICATION OF STOCK

Physical verification of stocks are carried out to ascertain whether the Company's stock records, as maintained in the Accounts, are represented by actual balances of stocks physically held in the warehouse.

Physical verification of stock may be carried out:

- i. As part of an annual stock take for accounting purposes.
- ii. As part of a cyclical stock verification system to ensure the integrity of Stock records.
- iii. For verification of the stock position indicated by Stock Out/Low Stock Reports.
- iv. As an independent verification initiated by the Company's management or auditors.

In all cases the procedure for the physical verification is similar. The timing and resources required to carry out the verification will, however, vary depending on the scale and scope of the verification.

Once it has been decided that a physical verification is to be carried out, a list of items in the store is compiled in a tabular form.

A representative from Internal Audit will be present to observe the stock count unless the count is being conducted at the instance of External Auditors, in that case an External Auditor will observe the stock count.

- ✓ During the stock count, Physical stock will be marched in column against stock in the Accounts and variances determined.
- ✓ The causes for variances will be investigated, adjustments made and where there is no resolution or explanation as to the cause of these variations, the MANAGING DIRECTOR advised.

10. DAMAGED AND OBSOLETE ITEMS

Obsolescence occurs generally due to availability of alternatives that perform better or are cheaper or both, or due to changes in user preferences, requirements or styles. It is distinct from fall in value (depreciation) due to physical deterioration.

How to declare an item as obsolete or damage

Material review committee

There shall be a committee made up of all user departments that have interaction with the inventory issues, e.g. technical, finance and all those sections that have interest in the said item. The committee will be chaired by a head of department to coordinate its activities.

How to identify damage or obsolete good**Physical inventory inspection.**

Quarterly check on items should be carried out to identify items that are damage due to the normal course of operation.

CHAPTER 11

ACCOUNTS RECEIVABLES

POLICY SCHEDULE	
Policy Title	Accounts Receivable Policy
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

1. Purpose

The policy is to take all appropriate and cost effective actions to aggressively collect account receivables. This is to improve management over and accounting for accounts receivables.

2. Procedures and guidelines

2.1.1 The accounts receivables system is used to record monies owing from individuals and organisations where the company has provided service (and goods if any) on credit basis.

2.1.2 The offering of credit will be reviewed thoroughly as per the credit policy as the process invites slow payments, bad debt and associated cost of legal action.

3. Customer creation and amendments

a. Establishing a new customer

A Customer Create Form must be completed before creating a new customer.

b. To raise a bill, the relevant debtor must exist. The billing officer should ensure the debtor does already exist in the Accounts receivables system.

c. If the customer does not exist, a requester needs to complete the customer creation form to establish the account. The form has to be signed by the requester's supervisor and be created by the schedule officer.

d. The customer create form must be retained by the schedule officer.

e. For amendment to customer account, the Treasurer must approve the amendment and all supporting document should be retained.

4. BILLING**ACCOUNTING FOR AIRSIDE REVENUE**

Airside revenue includes landing charges, Parking, Lighting and Fire Standby.

- Aeronautical charges for unscheduled flights for Airlines which do not have any credit arrangements with GACL will be paid in cash. In extreme cases crossed cheques made in the name of “Ghana Airports Company Limited” in full will be accepted if authorized by the Managing Director, Deputy Managing Director, or the Director of Finance.
- The only acceptable currencies as stipulated in the AIP are United States Dollars, Great British Pounds and Euro.
- GACL is responsible for raising invoices for schedule and non schedule airlines as well as receiving cash paid by nonscheduled flights on behalf of GACL.

5. Credit Note (Credit Invoice)

1. When an invoice has been processed, adjustments can only be made by way of a credit note request. There are to be no hand written adjustments on invoices since the debtors account needs to be updated by the adjustments. Any Credit Note must be authorised by the treasurer with reasons adequately given.
2. A credit note may be raised to:
 - Record the return of goods and services
 - Record the reduction in the amount of invoice
3. To cancel an invoice raised for an incorrect amount or data entry error. Credit note should be authorised by sectional heads in the absence of the Treasurer. The requester should not be the authoriser. The Treasurer should ratify the transaction as soon as possible.
4. The request should include the original invoice being adjusted and the reason.
5. All supporting documents should be retained for reference purposes.
6. Under no circumstances should a credit note be issued without appropriate authorisation.

7. Bill cancellation as a function in the Ebizframe should only be used at the approval of Head of Section.

6. Cash Receipts

When money is received from the Customer a system receipt will be generated unless there are genuine issue with the running of the Accounting software that a manual receipt will be issued.

In an event a manual receipt is issued, the book copy should be retained and the data recaptured when system is restored. The Treasurer must routinely check to ensure that system receipts have been issued to cover all manual receipts issued in a month.

7. Bank Transfers/Bank Receipts

Receipts through the bank

Accounts receivables officers will update customer accounts daily with bank advice or statement from the treasurer. All efforts should be made to credit customers' account with bank transfers within 30 days. Written requests must be made to the banks for details of credits immediately bank statements are received.

The Accounting entries will be as follows:

Debit - Bank A/c

Credit - Customer's A/c.

8. Reconciliation of Debtors

The reconciliation of debtors account is the responsibility of the accounts receivables. The debtor/General Ledger reconciliation is prepared monthly, reviewed and authorised by the Treasurer.

CHAPTER 12

CREDIT CONTROLS & DEBT MANAGEMENT POLICY

POLICY SCHEDULE	
Policy Title	Credit Control and Debt Management Policy
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

1. INTRODUCTION

This policy outlines the current policies, management and eventual recovery for the Credit Risk exposure of the Ghana Airports Company Limited (GACL).

The purpose of this policy manual is to document credit procedures for identifying, measuring and reporting to ensure consistent application of standards.

This policy document contains the terms and conditions under which debts owed to the Company are managed and controlled.

The Company has many sources of revenue which may be collected on cash or credit basis. This policy specifically, covers the collection of Airport charges, royalties, rentals, electricity / water supply and services rendered on credit basis. It also spells out revenue payable strictly by cash.

To minimize credit risks, maintain steady cash flow and improve customer services, this policy recognizes the need to administer credit from the generation of inputs, billing and dispatch of invoices through to the collection of receivables. The policy addresses the cooperation needed between Finance (Credit Control Section) and Airport Operational departments involved in the provision of Airport services.

The purpose of the policy therefore is to ensure that the debt profile of the Company is managed effectively, that debt owed to the Company is paid in a timely manner, that debt payment is maximized and any potential bad and or doubtful debts minimized.

The policy contains details on

- who are responsible for credit control and debt collection
- credit evaluation and customer classification
- credit terms and credit limits
- Interest on outstanding debts and penalty for dishonoured cheques
- dunning procedures and summary of credit administration targets.

2. GOALS

The policy is to achieve the following goals;

- Reduce account receivable balances
- Improve cash flows and liquidity
- Reduce the incidence of bad debts
- To minimize the cost of accounts receivables.

3. OBJECTIVES

The objectives are:

- i) To limit bad debts to 1% of credit invoices,
- ii) To reduce credit invoices outstanding to 30 days, and
- iii) Receivables older than 60 days should not be more than 10% of total receivables.
- iv) To issue monthly statements to customers not later than 10 days after the end of the month.
- v) Quicken the query response system to resolve customer disputes within 48 hours of receiving the complaint.
- vi) To raise prefunding input/bills within a day after receipt of request from the shipping Agent and payment received before vessel is allowed into port.

A strong Credit management is crucial for a healthy cash flow and long-term business success. The policy sought to achieve these objectives:

- better timely cash collection
- avoid both bad debts and hard feelings
- improved customer care
- high quality credit control
- standardizes credit procedures, providing employees with clear and consistent directions
- demonstrates to employees and customers that the company is serious about credit management
- aid the Company define how credit fits into the overall revenue and marketing plan

Our policy, therefore seek to develop and maintain an administration that will ensure quality risk assets while providing us with a viable recovery alternative.

4. CREDIT EVALUATION:

Customer Credit requests shall be assessed on case by case basis and shall be guided by the basic objective of reducing accounts receivables at all times. The following shall constitute part of the evaluation criteria.

- a) Customer Registration
- b) Customer Classification
- c) Credit Terms
- d) Credit Limit
- e) Customer history
- f) Nature of business in port
- g) Application for credit

5. CUSTOMER REGISTRATION

- i. Every prospective customer must first register with the Company and must have paid the relevant Airport operating licensing fee.
- ii. Existing customers are also to renew their license on annual basis.

- iii. The applicant should provide the minimum business information including the following-
- The physical address, business location and Telephone numbers;
 - Certificate of Incorporation and Certificate to Commence Business
 - The company's bankers and a letter of introduction/reference
 - The names of the directors and officers of the company.
 - The number of years the company has been in business
 - Existing business partners, associations e.t.c
 - Any other information as may be required depending upon the nature of the company's business.
 - In support of recommendations to commit capital, the Treasurer shall conduct appropriate independent research of at least the key risk factors specified in **schedule A** as applicable to each transaction.

6. CUSTOMER CLASSIFICATION

Customers operating in the airport, shall for the purposes of this policy, be classified under Trade customers and Non-Trade customers as follows;

Trade Customers

- i) Airlines
- ii) Airport Operatives(Agents, GSA, Freight Forwarders etc)
- iii) Ground Handling companies
- iv) Concessionaires (Duty free, Catering, Fuel companies, Retailers)

Non-Trade Customers-

- v) Rent/Lease Customers)
- vi) Water/Electricity Customers

7. RISK ASSETS

Risk Management Principles

The following Credit Risk Management Principles must be adhered to with total commitment:

- GACL will only do business with individuals and companies that display high level of integrity, a track record of incurring obligations prudently and servicing them diligently, and exhibiting a moral responsibility for all obligations.
- Credit quality will not be compromised for the sake of volume or profit
- Credit quality is the joint responsibility of all approving executives.
- The integrity of our portfolio management process is dependent upon timely and accurate risk ratings.

(a) Types of Risk Assets

Credit facilities extended to customers are as below:

TABLE 1

REVENUE ITEMS	BILLING	CREDIT DAYS	FOLLOW-UP
LANDING	WEEKLY	14DAYS	15TH DAY
PARKING	WEEKLY	14DAYS	15TH DAY
LIGHTING	WEEKLY	14DAYS	15TH DAY
APSC-INTERNATIONAL	WEEKLY	7DAYS	8TH DAY
APSC-REGIONAL	CASH		
APSC DOMESTIC	CASH		
FIRE STANDBY	WEEKLY	14DAYS	15TH DAY
CAR PARK	CASH	NIL	NIL
RENT-EXISTING	PAYMENT IN ADANCE	30 DAYS AFTER INVOICE	1ST DAY
RENT-POTENTIAL	PAYMENT IN ADANCE	NIL	
ROYALTIES-MAJOR CONCESSIONAIRES	MONTHLY/QUARTERLY	10 DAYS	
ROYALTIES-MINOR CONCESSIONAIRES & RETAIL.	MONTHLY	PAY ON SUBMISSION OF RETURN	
OPERATORS LICENCE	CASH	NIL	
AIRPORT PASS/AWARENESS	CASH	NIL	

Trade Debtors

- ✓ Subject to instructions of the Managing Director, all new trade customers must make the prescribed deposit in bankers draft and run imprest accounts for not less than three years.

- ✓ All trade services must be prefunded unless prior credit arrangements have been made.
- ✓ There shall be no credit limits except for the amount held within 14 days of receipt of invoice.
- ✓ **Interest on Outstanding Debts**
Any outstanding balances on account exceeding 14 days will attract an interest (penalty) as follows:

10 – 20 days -	5%
21 – 30 days -	15%
31 – 60 days -	25%

OR

Interest shall be charged on overdue amounts as stipulated in the contract. Otherwise an interest charge of 3% plus the Bank of Ghana base rate per annum shall be imposed on overdue amounts.

- ✓ Any company with outstanding balance will be refused service in the Airport and the debt referred to the Legal Department for further action.
- ✓ Subject to the approval of the Managing Director, Special credit terms may be determined by the Finance Department to promote competition or win new businesses.
- ✓ **Penalty for Dishonoured Cheques**
 - Cheques dishonoured shall attract a 10% penalty on the value of the cheque
 - Such companies shall make subsequent payments strictly by bankers' draft.

viii) Bad and doubtful debts

- A debt shall be considered doubtful if outstanding for a period exceeding 12 months after date of invoice.
- The Director Financial shall compile such doubtful debts for management review and presentation to the legal department.
- Such customer balances shall be fully provided for in the financial statement as specific doubtful debts.

- A debt established to be bad, shall be written off subject to the approval of the Board.

Non Trade Debtors

- ✓ Penalties for delayed outstanding balances as prescribed under trade debts also apply to non-trade debts.

a) CREDIT LIMIT:

- ✓ Subject to special circumstances to be referred to the Managing Director, there shall be no credit limit except the amount held within the credit period of ten (10) days after receipt of invoice.

WHY DON'T WE STATE THIS IN WAY THAT MAKES IT EASIER TO UNDERSTAND: like:

No customer will be given additional service on credit if a previous invoice issued to him/her remains unpaid after the ten (10)-day credit period, except with the approval of the Managing Director.

4) DUNNING PROCEDURES (DEBT COLLECTION PROCESS)

Policy

- a) All credit facilities shall be withdrawn if customer, after 3 reminders, breaches the credit terms.

Legal department will issue the Final reminder.

- b) Sanctions – e.g.

- i. Denying clients access to operational areas specified in the contract etc.
- ii. Withdrawing aeronautical services - shall be applied against defaulting customers.

- c) Collection agency- customers shall be referred to these agencies to retrieve debt.
- d) Legal action shall be recommended as a means of recovering debt
- e) Customers shall be surcharged with attorney fees or collection cost incurred at any time either prior to or during and the venue where such a suit would be filed
- f) Credit facility shall be restored only on the authorization of approving Company???

Procedure

The Treasurer will apply the following debt recovery procedures in respect of customers who exceed the *credit limit* and *hold balances* beyond the *stipulated credit period* under the specified categories;

- i) A text message (my text buddy) and email should be sent to the (appropriate contact person) to demand payment.
- ii) If no response is received after a day, a call should be made as a follow up to demand payment.
- iii) If payment is not made after above processes, a list of defaulting companies should be submitted to Director Airport Operation for the companies to be reminded at the Airside Operations.
- iv) If payment is not made within two days after step (iii), services to the defaulting companies should be stopped.
- v) Seven (7) days after severance of services, if there is still no response from the customer, the account should be referred to the Legal Department.
- vi) The Finance Department will provide all the relevant evidence of the customer's indebtedness to the Legal Department.
- vii) The Legal department shall represent the Company in all legal matters concerning customer indebtedness.

viii) CALL MEMORANDA

- a. All officers who visit/conduct important telephone call with clients must document the contents of the discussions on a Call Memorandum. These Call Memoranda and visits will be recorded.
- b. The frequency of visits will be dictated by the client's risk profile but should be at least on a quarterly basis.

CREDIT LIMIT-TABLE 2

PORTFOLIO		">Credit Application Completed and Signed	">Check References	">Initial Terms	">Credit Limit	">Approval
A	International Airlines	Yes. With signed Bank guarantee equivalent of 3 months bills & financials	Yes	7 days after billing	\$50000	Managing Director
B	Domestic Airlines	Yes. With signed Bank guarantee equivalent of 3 months bills & financials	Yes	7 days after billing	¢10000 - ¢50000	Managing Director
C	Tenants	Yes. With signed Bank guarantee equivalent of 3 months bills & financials	Yes	Prepaid	6 months, Rental income	Director, Finance
D	concessionaires	Yes. With signed Bank guarantee equivalent of 3 months bills & financials	Yes	10days after Billing	N/A	Director, Finance

CREDIT MANAGEMENT PROCESS-TABLE 3

"From Oldest Invoice Date	">Portfolio A	">Portfolio B	">Portfolio C	">Portfolio D
0-15 days	Current	Current	Current	Current
15-30 days	Current-F/U Call #1	Current-F/U Call #1	Current-F/U Call #1	Current-F/U Call #1
30-40 days	F/U Collection Ltr/Email	F/U Collection Ltr/Email	F/U Collection Ltr/Email	F/U Collection Ltr/Email
40-50 days	Escalation to Director of Finance-collection call; credit hold	Escalation to Director of Finance-collection call; credit hold	Escalation to Director of Finance-collection call; credit hold	Escalation to Director of Finance-collection call; credit hold
50-55 days	Legal Final Demand Letter; credit hold	Legal Final Demand Letter; credit hold	Legal Final Demand Letter; credit hold	Legal Final Demand Letter; credit hold
55-plus	Legal action	Legal action	Legal action	Legal action

ACCOUNTABILITY

All approving officers are held accountable for exercising utmost professional due care in their approval decisions.

CONFIDENTIALITY

Client information which has not been publicly disclosed will be kept strictly confidential. Information will only be accessed by authorized GACL employees and legal advisors for only official business. Information shall not be disclosed to third party except as required by law or authorized by the client.

EXCEPTIONS

Any exception to the policies and procedures herein (unless otherwise specifically addressed within this document), must be approved by the Managing Director. All exceptions must be documented, and must carry either an expiration date or a review

date. It is the responsibility of the Treasurer to maintain a file of approved policy exceptions.

BAD DEBTS

Debts owed to the Company shall be considered bad if all efforts at recovering the debts prove futile.

(a) Conditions under which debts could be considered irrecoverable

- when the debts are over 2 years old
- when a debtor company is defunct or liquidated
- where direct contact with the company is not possible either due to incomplete debtor information or contact address
- upon the advice of a solicitor or collection agent

(b) Procedures to be followed before declaring debts as bad:

- Reminder letters as specified in **12** above urging debtors to settle their debts.
- Letters threatening sanctions and actual sanctions against customers
- Visits to recalcitrant clients to discuss debts and agree on payment schedule
- Legal action

(c) Approval for bad debts

The Director of Finance shall provide on quarterly basis schedule of specific debts considered bad.

On the advice of the Managing Director, the Board will consider for approval debts deemed to be irrecoverable and therefore to be written off.

EFFECTIVE DATE

These policies and procedures are effective immediately, and replace all pre-existing credit policies and procedures that applied within GACL. This document will be updated periodically, as necessary, and the relevant pages replaced to reflect best business practices.

Issued by: Managing Director

Dated:

SCHEDULES- A.**COMPANY PROFILE**

INFORMATION	REMARKS (FOR OFFICIAL USE)
COMPANY NAME:	
CERTIFICATE OF INCORPORATION NO :	
YEAR OF INCORPORATION :	
NAME OF DIRECTORS: 1. Tel. 2. Tel. 3. Tel. 4. Tel.	
CURRENT LOCATION OF COMPANY:	
POSTAL ADDRESS:	

CONTACT NO:	
EMAIL :	
TYPE OF BUSINESS OPERATION :	
NO. OF YEARS IN OPERATION:	
CONTACT PERSON/APPLICANT :	
DATE :	
SIGNATURE :	

PLEASE ATTACH PHOTOCOPIES OF SUPPORTING DOCUMENTS

**SCHEDULE B****CREDIT APPLICATION**

Business Name:		
Address city	Country	Post code
Tel. _____		Fax _____
Email _____		
Website:		
Years in business: _____		No. of Employees:
Annual Turnover	Type of business:	

Trade References:	
Name _____	Address _____
Tel: _____	Fax _____
Name _____	Address _____
Tel: _____	Fax _____

Bank References:

Name _____	Address _____
Tel: _____	Fax _____
Name _____	Address _____
Tel: _____	Fax _____
Credit line requested \$ _____	

1. TERMS AND CONDITIONS

By signing this Credit Application the individual executing the application below on behalf of the Customer, individually and personally, represents and warrants to the Ghana Airports Company Ltd. that:

- 1.1) He/she is authorized to execute this Application on behalf of the Customer;
- 1.2) The information set forth in this Application is accurate and complete;
- 1.3) The Customer agrees that in the event of any dispute under this Agreement the prevailing party will be entitled to recover its costs including legal fees and collection agency fees;
- 1.4) This Agreement is subject to the laws of Ghana and any legal action taken under this agreement will be subject to those laws;

In signing this Agreement the Customer agrees to all of the above and hereby grants permission for credit information to be verified by the companies and banks that the Customer has specified on this document and other that the Ghana Airports Company becomes aware of during the credit review process and from time to time.

The undersigned also understands that the Ghana Airports Company will retain this Application, whether or not it is approved, and that the Ghana Airports Company will

consider this Application as a continuing statement of the undersigned's financial position and situation until notified otherwise by the Customer.

In order for the Ghana Airports Company to provide service, and continue to deliver service to the Customer, the Customer hereby represents and warrants that it is solvent and that it pays its obligations as they become due. The preceding representation and warranty will be deemed to be repeated for each purchase by the Customer.

2. PAYMENT

Credit Terms are up to 7 days from the date of invoice. The applicant shall be obliged to examine the invoice upon receipt. Any discrepancies must be reported within 7 days of receipts, failing which the invoice shall be considered correct.

Payment shall be made within 14 days of the invoice date. Interest will be charged on all overdue accounts at the rate of 3% above Bank of Ghana Base Rate should client default in payment.

3. BREACH

Full aircraft capacity shall be invoiced if client fails to submit load/summary sheets per flight.

Credit facility to client shall be withdrawn in the second instance of payment default.

Collection agency/Legal action shall be used as a means of recovering debt.

Faxed and documents will be deemed as original. No oral agreements will be accepted. The terms on this Credit Application override all others.

Company Name:

Authorized Signature:		Date:
Name (pls print):		
Title:		
As Witness (pls print):		
Sign		Date:

This Application/Agreement must be completed in full in order to be processed.

**Post to: Managing Director,
Ghana Airports Company,
Kotoka International Airport
Accra, Ghana.**

For Office Use Only
Credit Amount Requested:
Credit Amount Approved:
Director of Finance:
Commercial Director/
Director of Airport Operations:
Managing Director

CHAPTER 13

CASH & BANK

POLICY SCHEDULE	
Policy Title	Cash and Bank Policy
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

I. BANK RECONCILIATION

1. Purpose

This is to provide guidelines in preparing and reviewing bank reconciliations for the organization.

The company will prepare its bank reconciliations once every month and all reconciling items will be tracked to ensure that it is satisfactorily resolved. All reconciling methods (manual, semi-manual or automatic bank reconciliations) should clearly show the balances being reconciled and the details of all reconciling items.

Policy

- ✓ All bank accounts will be reconciled within 7 days after closure of the ledgers for the month.
- ✓ The reconciliations shall be prepared by an employee who is not involved with receipt and disbursement and recording of cash.
- ✓ Bank reconciling items shall be investigated and adjusting book entries shall be recorded in the same month as reconciliations are received.
- ✓ Bank reconciling items shall be communicated and should be investigated and corrections made within 2 months.
- ✓ Where the reconciling item involves an error by the bank, the Treasurer will be responsible in liaising with the Bank for the resolution. The resolution of the error should not exceed 2 months.
- ✓ Adjusting accounting entries will be reviewed by the Financial Accountant before the entries are passed.

- ✓ All bank reconciliations should be signed by the officer who prepared it and be reviewed by the Financial Accountant. The Director of Finance will review the Bank Reconciliations every quarter.
- ✓ All reconciliations documentation should be retained for reference and audit purposes.

Procedures/Guidelines

The accounts of the company are reconciled as follows;

- ✓ For manual reconciliations, the schedule officer will identify transactions in the manual reconciliation page, verify accuracy and requesting reconciliations.
 - ✓ For semi-manual reconciliations, the reconciling officer will match the Ebizframe transactions to the bank statement and reconcile them.
 - ✓ The officer will review the book to bank reconciliation details and make adjustments as necessary. Such adjustments might include: deposits in transit, unrecorded deposits, banking fees, etc. all adjustments between the banking activity and general ledger activity must be matched or the difference noted. This step will be repeated until the bank statement and the general ledger is reconciled.
 - ✓ A report will be generated on book to bank reconciliation.
2. At the end of each month, the Accounts Officer (Ledgers) reconciles the cashbooks against the respective bank statements

The Accounts Officer:

- 1) Ticks off on each cash book and its bank statement, transaction entries that have been cleared with the bank
- 2) Effects the posting of items that appear on the bank statement but are not yet posted in the cashbook. This is done by preparing a journal entry submitted to the Financial Accountant for review and authorization of the journal entry.
- 3) Totals up all the cash book columns, with appropriate page “carry forward” and “brought forward” amounts. He does a cross cast for each page. This confirms

that the grand “total amount” agrees with the sum of all the analysis column totals.

- 4) Identifies the outstanding items i.e. those remaining not ticked on both the cashbook as well as the bank statement.
- 5) Prepares the reconciliation statement as follows:

Balance as per Cashbook	XX	
Add: Unpresented cheques	XX	
Direct credits	<u>XX</u>	
Less: Uncredited cheques	(xx)	
Direct debits	<u>(xx)</u>	<u>(xx)</u>
Balance as per Bank Statement		<u>(xx)</u>

The reconciled cash book balance must agree with the bank statement balance, otherwise any difference is investigated and corrected immediately.

The Financial Accountant reviews the reconciliation statement and initials the statement to confirm this whilst the Director of Finance approves.

The Financial Accountant follows up on items, which have been outstanding on the bank reconciliation statements for more than one month.

Same is also done for unusual items appearing on the bank statement but not originating from the cashbook. All bank statements are retained in a file for future reference.

ii. PETTY CASH

POLICY

- I. It is the policy of GACL to use petty cash for small purchases. GACL provides imprest funds (for minor office and operational expenditures, not for travel or employee advances).
- II. Accounts Payable replenishes these float up to its authorized balance.
- III. Petty cash is operated on an imprest basis, which amounts to a float of ₵3,000 under the custody of the Company Cashier or Deputy Cashier.
- IV. The petty cash is maintained on an imprest system whereby the petty cash holder is advanced a float which is always replenished.
- V. Petty cash is maintained to permit the Cash Office to pay minor amounts immediately not exceeding ₵150.
- VI. The petty cash holder keeps petty cash securely locked up in the petty cash box at all times and kept separately from cash takings.
- VII. Petty cash payments are made only where approval has been given by the Treasurer or Financial Accountant or Director of Finance.
- VIII. The petty cash holder disburses requests through preprinted petty cashbooks.
- IX. The total amount spent is accounted for using vouchers and receipts, where possible, but does not exceed the float amount.
- X. Reimbursement is made only after accounting has been done for all petty cash drawn.
- XI. The Petty cashbooks and daily disbursements will be subjected to daily checks to ensure that funds are accounted for.

OPERATING IMPREST

- I. Apart from the main company Petty Cash, Departments/Sections that require a float to support its operations may make justification to the Managing Director for approval for an account and designate an employee as custodian of the float.
- II. Subsequent to opening an account, departments may request an increase or decrease of their float, providing the reason for the change which will be approved by the Managing Director.
- III. Operational imprest may be recouped from time to time when the float is exhausted or substantially utilized.
- IV. Recoupment is only permissible when earlier float has properly been accounted for and audited.
- V. No employee may be permitted to hold two sets of operational imprest.
- VI. Operational imprest will be permanently retired where its justification no longer holds.

PROCEDURES

- I. For all payments made through the petty cash fund, the petty cash holder prepares a Petty Cash Voucher attaching the invoices, claims, etc.
- II. The maximum amount payable from the petty cash fund for a single request is ₵150.
- III. The petty cash holder then makes the payment ensuring that the person receiving the money signs the Petty Cash Voucher. The petty cash holder then files in numerical sequence with the supporting documents stamped "PAID".

- IV. The petty cash holder enters the Cash Requisition Form amount in the petty cash book and
- V. analyses it under the appropriate expense column.
- VI. When the float is utilised to about ₵2,500, replenishment is triggered. The Cashier makes an analysis of the payments made under the various classes of expenses and then prepares a request through the Treasurer for replenishment.
- VII. The approved request and supporting documents are presented to Account Ledgers for checks and retirement of earlier amount disbursed prior to Internal Audit for final checks.
- VIII. A cheque is the issued to the petty cash holder.

iii. **IMPREST**

DEFINITION

An Imprest is an amount of money advanced for a specific and critical short-term purpose which must be accounted for immediately that purpose has been satisfied. It is given to an officer rather than direct payment to supplier.

Imprest is categorised into operational and general imprest.

OBJECTIVE OF IMPREST PROCEDURES

To ensure that all amounts advanced for specific short term purposes are properly authorised, and promptly accounted for on completion of the activity.

MAIN STRATEGIES TO ACHIEVE THE OBJECTIVE

In order to meet this objective the following strategies are recommended:

- a) Control over the issue of Imprest
- b) Appropriate retirement procedures
- c) Prompt and accurate accounting
- d) Control to ensure prompt retirement

No person shall be issued with Imprest when there is another Imprest outstanding in her/his name.

It is important that all expenditure is accounted for promptly and properly in full, and that an Imprest should be retired **immediately** after its purpose has been fulfilled.

An individual should never have more than one Imprest outstanding against her/his name at one time.

RETIREMENT PROCEDURES

General Imprest must be accounted for within 3 working days upon completion of the activity for which it was issued.

Operation imprest is re-imbursed as and when required.

There are three possible outcomes of the Imprest:

- a) The Imprest amount has been fully spent on the intended purpose
- b) The Imprest amount has only been partially spent on the intended purpose leaving a balance to be returned
- c) The Imprest holder has incurred more expense than the amount of the Imprest and is due an additional payment

In all of these cases the retirement is through an Imprest retirement form, the purpose of which is to summarize the expenditure incurred against the original Imprest and the necessary approvals to the way that it has been utilized.

It is recommended that, in all cases, the Imprest retirement form is attached to a payment voucher in addition to other supporting documents.

The document is then approved by Head of department and submitted to Internal Audit for checks.

Where the Imprest is retired in full the payment voucher amount payable will be nil and the coding of the expenditure will be balanced.

The accuracy of the recording is tested through the reconciliation of the imprest ledger to the control account and the verification checks in the cash book and general ledger systems.

DEDUCTION FROM SALARY

If a special Imprest is not retired promptly, it should become a priority for payment from the next month's salary, if possible being deducted in total.

If an Imprest is being recovered from salary, no further imprest should be authorised until full recovery has been made.

CHAPTER 14

ACCOUNTS PAYABLE

POLICY SCHEDULE	
Policy Title	Accounts Payable
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

1. ACCOUNTS FOR GOODS PURCHASED

i. On receipt of Supplier Invoices, Procurement will:

- Match the invoice with its corresponding **Purchase Order and Stores Receipt Voucher**
- Verify invoice details with goods received in the system and submit to the Director of Finance for approval.

ii. Processing Payment

- When the invoice is due for payment, generate a **payment voucher**.
- The value of the payment voucher should be equal to the value of good received at stores.
- Supervisor authorises the entry for audit validation.
- If the PV passes validation, post transactions and print cheque for signatory but if queries are raised by audit, resolve before forwarding for signatory.
- Register cheque in cheque Register and obtain the supplier's name and signature upon despatch of cheque
- Debit supplier account and Credit Bank

2. PAYMENTS FOR SERVICES

A Works Order shall be raised by User- Department. After the due authorisation of the works (agreed value, terms etc.) a copy of the order will be sent to Finance for retention. Finance will register the Works Order awaiting **receipt of the relevant invoices**.

On Completion of Service Provision the following process will apply:

- Supplier presents invoice to user department;
- Validation by User-department and confirmation that services has been satisfactorily provided;
- Certification by Safety Department that all hazards have been cleared and that work had been performed in a safe manner

Finance on Receipt of invoice, user certification and Safety certification will:

- Stamp date on the invoice, indicating “date of receipt in Finance”.
- Record invoice details in the Invoice Register.
- Match invoice with its corresponding Works Order.
- Process payment

3. ADVANCE PAYMENT TO SUPPLIERS

As a policy, GACL will endeavour to settle its suppliers/creditors on the due date of invoices, unless other purchase conditions were agreed as part of the purchase contract.

Payments will generally be made in arrears, after the company has satisfied itself that the goods ordered or the services contracted have been received or rendered.

The company, for commercial reasons, will however consider the payment to suppliers in advance of the supply of goods or services. These will be decided on a case by case basis, as recommended by the Director Technical services for goods or Department Head concerned for services and approved by the Director of Finance.

All Advance payments will be debited to individual supplier deposit accounts and offset against final invoice payment on completion of supply.

Appropriate statutory deductions such as withholding taxes would normally be effected at the time of paying the advance. Where deductions are not made at the time of advance payment for a justifiable cause the tax due on the gross amount will be deducted from the final payment.

4. Payment Terms

Unless otherwise stated in an agreement, all invoices will be paid within 30 days of Receipt.

CHAPTER 15

LEASES

POLICY SCHEDULE	
Policy Title	Leases Policy
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance

DEFINITION

A lease is an agreement whereby the lessor conveys to the lessee in return for a payment or series of payments the right to use an asset for an agreed period of time.

FINANCE LEASE

A finance lease is a lease that transfers substantially all the risks and rewards incidental to ownership of the asset. Title may or may not eventually be transferred.

OPERATING LEASE

It's any lease other than finance lease.

Commencement of the lease term: is the date from which the lessee is entitled to exercise this right to the lease asset. It is the initial recognition of the lease (i.e. the recognition of the asset, liabilities, income or expenses resulting from the lease as appropriate).

The lease term: is the non-cancellable period for which the lessee has contracted to lease the asset together with any further terms for which the lessee has the option to continue to lease the asset, with or without further payment, when at the inception of the lease it is reasonably certain that the lessee will exercise the option.

Economic Life:

- a. The period over which an asset is expected to be economically usable by one or more users; or

- b. The number of production or similar units expected to be obtained from the asset by one or more users.

Useful Life: is the estimated remaining period, from the commencement of the lease term, over which the economic benefits embodied in the assets are expected to be consumed.

Fair Value: is the amount for which an asset could be exchanged, or liability settled, between knowledgeable, willing parties in an arm's length transactions.

IAS 17 *Accounting for Leases* covers in detail the accounting treatment of leases. The requirements of this policy are consistent with that Standard.

POLICY

RECOGNITION

Finance lease shall be recognised as an asset and liability in the financial position at amounts equal to the fair value of the lease property or, if lower, the present value of the minimum lease payments, each determined at the inception of the lease. The discount rate to be used in calculating the present value of the minimum lease payments is the interest rate implicit in the lease, if this is practicable to determined; if not, the incremental borrowing rate shall be used. Any initial direct costs are added to the amount recognised as an asset.

MEASUREMENT

Minimum lease payments shall be apportioned between the finance charge and the reduction of the outstanding liability. The finance charge shall be allocated to each period to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

The depreciation policy for depreciable leased assets shall be consistent with that for depreciable assets that are owned, and the depreciation recognised shall be calculated in accordance with the policy on assets.

DISCLOSURE**FINANCE LEASES**

- a) The following information must be disclosed separately by a lessee in respect of finance leases:
- b) the carrying amount of each class of lease asset as at reporting date.
- c) contingent rentals recognised as an expense in the reporting period.
- d) for each of the following time bands, according to the time which is expected to elapse from the reporting date to the expected date of payment, a reconciliation of lease commitments to the carrying amount of the lease liabilities:
 - i. not later than one year;
 - ii. later than one year and not later than five years; and
 - iii. later than five years.
 - iv. for non-cancellable sub-leases, the total of future minimum lease payments expected to be received as at the reporting date.

A general description of the lessee's leasing arrangements including but not limited to the following:

- i. the basis on which contingent rental payments are determined;
- ii. the existence and terms of renewal or purchase options and escalation clauses; and
- iii. restrictions imposed by lease arrangements such as those concerning dividends, additional debt, and further leasing.

OPERATING LEASES

RECOGNITION

Lease payments shall be recognised as an expense on a straight line basis over the lease term.

DISCLOSURES

The following information must be disclosed separately by a lessee in respect of operating leases:

- a) the total amount of rental expense recognised in the reporting period, with separate amounts for minimum lease payments, contingent rentals, and rental expense arising from sub-leases
- b) for non-cancellable sub-leases, the total of future minimum lease payments expected to be received as at the reporting date
- c) for non-cancellable operating leases, the minimum lease payments and, where different from the minimum lease payments, the lease commitments in the following time bands, according to the time which is expected to elapse from the reporting date to the expected date of payment:
 - i. not later than one year
 - ii. later than one year and not later than five years
 - iii. later than five years

A general description of the lessee's leasing arrangements including, but not limited to the following:

- the basis on which contingent rental payments are determined
- the existence and terms of renewal or purchase options and escalation clauses
- restrictions imposed by lease arrangements, such as those concerning dividends, additional debt, and further leasing.

All payment requiring lease must follow the same procurement processes and procedures.

CHAPTER 16

INSURANCE

POLICY SCHEDULE	
Policy Title	Insurance
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance

Policy

GACL's policy is to maintain an active risk management program that includes a comprehensive insurance package. This will ensure the viability and continued operations of GACL. The Company seeks to maintain adequate insurance against specific and general liability (potential liabilities and/risks), as well as coverage for Airfield, buildings, equipment, machinery and other items of value.

Coverage Guidelines

As a principle, GACL will arrange the following types and level of insurance:

Airport Owners & Operators Liability	\$ 500,000,000
Combined Assets	¢ 148,831,271
Motor, (Fire Tenders, Runway sweepers)	\$ 3,422,000
Motor, (Owned, leased, borrowed)	¢ 250,000
Employee Benefits Scheme	Business Class

GACL will maintain a detailed listing of insurance policies in effect. This listing will include the following information, at a minimum:

1. Description (type of coverage)
2. Agent and insurance company, including all contact information
3. Coverage and deductibles
4. Premium amounts
5. Policy effect dates

GACL will maintain an accounting breakdown of all insurance premiums and the allocations of those premiums.

CHAPTER 17

ESTABLISHING LETTER OF CREDIT

POLICY SCHEDULE	
Policy Title	Letters of Credit
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance

1. LETTERS OF CREDIT

1. A valid contract agreement is signed between GACL and the supplier.
2. An application form for a letter of credit is signed by the Managing Director and the Director of Finance.
3. The signed Application Form is then submitted to the bank for approval.
4. On approval of the LETTER OF CREDIT(L/C), the bank communicates same to the supplier
5. Payments are made based on the terms and conditions stated in the contract.
6. Depending on the stage of completion of the job, two sets of certificates are prepared by the project officer.
7. These certificates must be presented to the Director of Finance for approval and authorization.
8. The Director of Finance must forward the authorized certificate to internal audit for validation.
9. On completion of the validation process, internal audit must forward the certificate to the Director of Finance.

10. The Director of Finance must forward the validated certificate to the Managing Director for the final approval.
11. The certificate is then forwarded to the supplier for counter signing and return same to the project officer.
12. A copy of the certificate is forwarded to the bank and the other copy is kept by the project officer.
13. The bank effects the required payment based on the conditions on the certificate.
14. The Bank then advises the Director of Finance based on the payment effected.

CHAPTER 18

SALES OF CURRENCIES (FOREX SALES)

POLICY SCHEDULE	
Policy Title	Forex Sales
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

1. The Treasurer writes to DIRECTOR OF FINANCE seeking approval to sell foreign currency based on the shortfall in our cedi account.
2. The DIRECTOR OF FINANCE approves and authorizes the request considering the company's foreign account balances"
3. The Treasurer writes to various banks requesting for their quotations within a specified period
4. The banks submit their quotations through email or fax.
5. The treasurer reviews the bids and selects the highest bidder.
6. All bidding documents are submitted to Internal Audit for validation and then forwarded to the Treasurer
7. An Offer Letter signed by the DIRECTOR OF FINANCE and the MANAGING DIRECTOR is submitted to the highest bidder.
8. Journal Voucher is raised for the amount to be sold.
9. The bank from which the funds will be transferred is also advised to effect the transaction.

CHAPTER 19

BANK TRANSFER TO OTHER CURRENCIES OTHER THAN THE US DOLLAR

POLICY SCHEDULE	
Policy Title	Bank Transfer
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Treasurer

1. All authorized and approved documents for payments must be submitted to the Director of Finance (DF).
2. DIRECTOR OF FINANCE authorizes the generation of Payment Vouchers (PVs) by minuting on the approved document and forward to the accounts payable section.
3. **Payment Vouchers (PVs) for payments in other foreign currencies MUST be raised electronically in the currency of payment**
4. The Accounts Payable Supervisor authorizes Payment Vouchers PV with attached supporting documents and forward to Internal Audit for pre-auditing.
5. The Accounts Payable Officials prepare a Bank Transfer Letter requesting that Payment of the equivalent amount in dollars be debited to GACL's account for signatures.
6. DIRECTOR OF FINANCE/Treasurer signs the letter as first signatory and MANAGING DIRECTOR/DEPUTY MANAGING DIRECTOR (DMD) as second signatory.

7. The documents are submitted to the bank for transfers to be effected and copies kept on file.
8. Any difference between the amounts paid and what had been captured is reconciled in the ledgers with journal vouchers when the evidence is received from the bank that GACL's account has been debited.

CHAPTER 20

MAINTENANCE OF ACCOUNTS & CORPORATE REPORTING

POLICY SCHEDULE	
Policy Title	Maintenance of Accounts and Corporate Reporting
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Financial Accountant

1. POLICIES

- ✓ The accounting policies and procedures manual is critical to the accounting function of Ghana Airports Company Limited.
- ✓ The Financial Accountant is responsible for maintaining the manual.
- ✓ All proposed changes must be approved by the Managing Director.
- ✓ The policies and procedure manual will be dated with the date of each approved revision.

2. PROCEDURES

- ✓ Each year the Financial Accountant will review the manual and formulate proposed changes.
- ✓ All proposed changes will be made through the Director of Finance to the Managing Director for approval by the Managing Director.
- ✓ Whenever changes to the accounting procedures are made, a review of the accounting policies and procedures manual will be made by the Financial Accountant to determine if a revision is required.
- ✓ Any minor revisions to the manual which are not reflected in the manual immediately should be kept on file to incorporate into the formal annual update.
- ✓ The revised manual will be communicated to the Audit Committee.

3. PROCESS LEDGERS

The Financial Accountant is systems owner on the Accounting software and has responsibility for developing the system with support of the ICT Section.

4. MAINTENANCE OF ACCOUNTS.

- i. The Finance Department is responsible for maintaining the General Ledger , which facilitates organisation of the Ledger Accounting system for:
 - a. Financial accounting functions and the associated statutory reporting requirements.
 - b. Responsibility accounting and reporting
 - c. The Accounts structure in Financial module will be designed and maintained by the Financial Accountant.
 - d. The Financial module involves the following activities:
 - i. Adding new accounts, departments/cost centres and company codes
 - ii. Deleting accounts, department/cost centres and authority codes.
 - iii. Ensuring the correct classification and coding of accounts, departments/cost centres and authority codes.
 - iv. The addition or deletion requires prior authorisation by the Financial Accountant.
 - v. Prior to deleting an account or cost centre, the Financial Accountant will satisfy him/herself that:
 - vi. There are no transactions associated with that account/centre in the current or history file, and where they exist,
 - vii. That these are saved without a loss in the level and content of information during the deletion or change (this may be achieved through merging an old account with a new one).
 - viii. Updates to Finance Module will be circulated to all Finance staff and copied to the Audit Department as well as all affected departments.
 - ix. Access to the Finance Module maintenance options will be limited to authorised staff in Finance Department. Specific staff are to be nominated by the Director of Finance.

5. JOURNAL ENTRIES

a. Transactions in the General Ledger originate from one of the following sources:

- Direct entry journals (document based)
- Manually created journals

b. Direct Entry Journals

- These journals are based on the recording of transactions on various Authority forms, which are then used as the information source for input of transactions in Ledger accounts. Examples of such journals being:
 - **Payment Vouchers.**
 - **Debit Notes.**

c. MANUALLY CREATED JOURNALS

- These are journals that result from analysis of transactions by Finance Staff and support the accounting entries to be created. Examples of such journals being:
 - Accrual of Work Orders
 - Analysis of fuel issues
 - Depreciation charge for fixed assets.
 - Month end accounting adjustments for example Month end accounting entries for expensing prepayments, etc

d. A Journal Voucher will be prepared for each set of journals.

- All journal entries into Accounting software are identified by a Batch number, which is assigned by the system at the journal entry point. The Financial Accountant will maintain a record of Journal Batch Numbers.
- A Batch Control Form containing the following particulars will be prepared for direct entry and manual journals:
 - Month.
 - Journal Number.

- Batch Total.
 - Held No.
 - Input By.
 - Date.
- e. Only Finance Department staff will have access to journal functions in the Accounting system. The creation and posting functions will be segregated, as far as practical.

6. MONTH END ACCOUNTING TIME TABLE

1. GACL is required by its Board of Directors to report its monthly financial performance.

To comply with the above requirement and for financial management purposes, the Finance Department will prepare monthly financial statements and other management reports as required.

2. To ensure the timely issue of various reports, the Financial Accountant will prepare a Monthly Accounting Time Table, which lists:
- i. Activities to be undertaken
 - ii. Information to be provided.
 - iii. Responsible person
 - iv. Delivery deadlines

Copies of the timetable will be sent to all staff involved

3. Compliance with the above framework for monitoring performance will ensure the achievement of corporate objectives
4. The Finance Department will prepare a complete set of accounts for GACL every month, the balance sheet date for each month being the last date of that month. The monthly Account should be issued by the 20th of month following the month the Account relates to.
5. The monthly financial reports will comprise of:

- i. A profit and loss statement for the month and year to date.
 - ii. A balance sheet
 - iii. A statement of cash flow for the month and year to date.
 - iv. Variance analysis comparing actual performance to the corresponding amounts for the month in the approved budget
6. The annual financial statements of GACL will be subject to statutory audit under the prevailing legislation (**Companies Code of Ghana, 1963 –(Act 179)**). The Yearly Account should be issued by the end of March of year following the year the Account relates to.

Ghana Airports Company ACCRUAL SYSTEM OF ACCOUNTING

GACL adopts the accrual system of accounting. The salient features of the accrual process are:

- Matching of income earned with related expenses incurred in earning that income within the period in which the transactions occur.
- The recognition of assets and liabilities as at balance date of an accounting period, whether or not the transactions related to operations for that period.

CHAPTER 21

MANAGEMENT INFORMATION REPORTS

POLICY SCHEDULE	
Policy Title	Management Information Reports
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Corporate Planning Manager

1. INTRODUCTION

Corporate Planning will use the following to monitor and evaluate the implementation of the strategies and action plans for the Corporate Plan over the plan period:

Appropriate Performance Standards and measures will be set at the corporate level.

Designed templates will be used for collection and analysis of data on actual performance.

Variance analysis reports will be prepared to highlight significant variance and the reasons thereof as part of the budgetary control system and appropriate corrective action taken.

Periodic meetings will be conducted and field inspections undertaken.

Advise on corrective actions on all adverse variances.

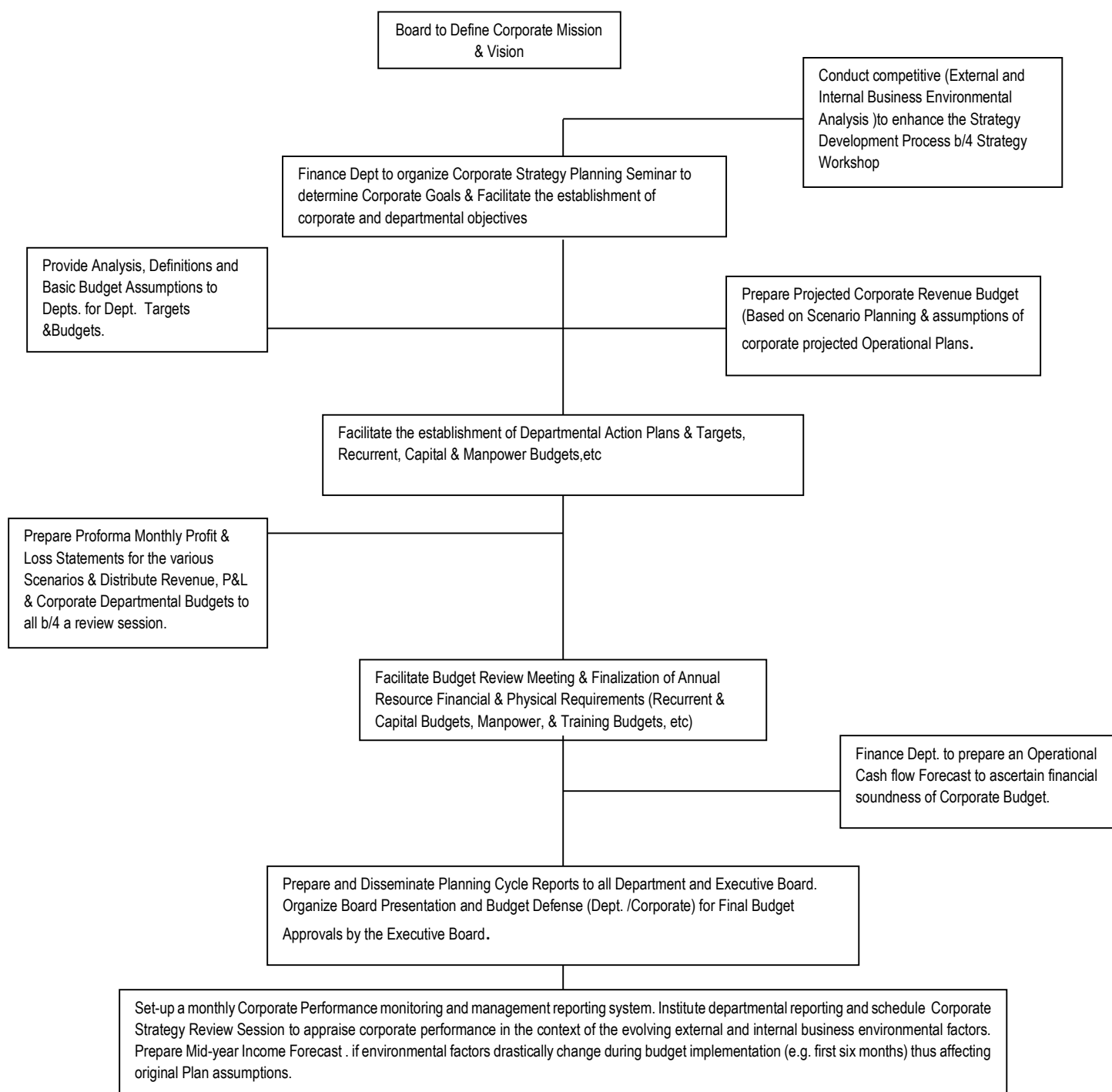
Reward/sanction system will be instituted to give recognition for good and poor performances

Other reporting mechanism includes:

- i. 3 year rolling corporate plan
- ii. Annual profit plan/ budget
- iii. Quarterly report to highlight the achievements, deviations from targets and strategies for resolving constraints.

- iv. Fulfilling the company's periodic reporting and accountability to State Enterprises Commission (SEC)
- v. Facilitation meeting with operating agencies

2. STRATEGIC PLAN FORMULATION



BUDGET AND BUDGETARY CONTROL

POLICY SCHEDULE	
Policy Title	Budget and Budgetary Control
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Corporate Planning Manager

1 Overview

Budgeting is an integral part of managing GACL and is concerned with meeting organizational goals and objectives. The budget is designed and prepared to direct the efficient and prudent use of the company's financial and human resources.

The budget is management's commitment to a plan for present and future organizational activities to GACL as a going concern. It provides an opportunity to examine the composition and viability of the company's programs and activities simultaneously in light of available resources.

2. Characteristics of a budget

The GACL budget shall have the following characteristics:

- i. **Participation:** involve as many people as possible in drawing up a budget.
- ii. **Comprehensiveness:** embrace the whole organization.
- iii. **Standards:** base it on established standards of performance.
- iv. **Flexibility:** allow for changing circumstances.
- v. **Feedback:** constantly monitor performance.
- vi. **Analysis of costs and revenues:** this can be done on the basis of departments or cost centres.

3. Budget organization and administration:

In organizing and administering GACL's budget system the following characteristics shall apply:

- a.) **Budget centres:** This refer to the departments and/ or Units responsible for the preparations of budgets. A budget centre may encompass several cost centres.
- b.) **Budget committee:** The budget committee will consist of high-level executives who represent all segments of the business with the Managing Director as the chairperson.

The budget committee's major task is to ensure that budgets are realistically established and coordinated satisfactorily.

The departmental heads shall present their budget to the committee for approval.

If the budget does not reflect a reasonable level of performance, it will not be approved and the functional head will be required to adjust that budget and re-submit for approval.

During budget reviews, departmental heads should be given a fair hearing.

The Functions of the budget committee includes:

- i. Issue of budget manual.
 - ii. Coordination and review of budgets
 - iii. comparison of actual results with budget and investigation of variances.
- c.) **Budget Officer:** The Budget Officer shall be the Corporate Planning Manager and shall Control the budget administration. The role of the budget officer is to coordinate the individual budgets into a master budget for the organization.

The job involves:

- I. liaising between the budget committee and responsible officers for budget preparation
- II. dealing with budgetary control problems
- III. ensuring that deadlines are met.
- IV. educating people about budgetary control

d). **Budget manual**

A budget manual should be prepared by the Director of Finance. It will describe the objectives and procedures involved in the budgeting process and will provide a useful reference sources for staff responsible for budget preparation.

The manual may include a timetable specifying the order in which the budgets should be prepared and the dates when they should be presented to the budget committee.

The manual shall be circulated to all individuals who are responsible for preparing budgets.

This document:-

- i. charts the organization's course of action
- ii. details the budget preparations
- iii. sets time for each process
- iv. contains account codes for items of expenditure and revenue
- v. clearly defines the responsibility of persons involved in the budgeting system.

4. ROLE OF CORPORATE PLANNING IN BUDGET PREPARATION

Corporate Planning will assist departmental heads in the preparation of their budgets; they will, for example, circulate and advise on the guidelines about budget preparation, provide past information that may be useful for preparing the present budget, and ensure that responsible managers submit their budgets on time.

Corporate Planning **do not determine** the content of the various budgets, but they do provide advisory services to the various department.

5. STAGES IN THE BUDGETING PROCESS:

The important stages are as follows:

- i. communicating details of budget policy and guidelines for the preparation of the budgets.
- ii. determining the factors that affect output;
- iii. initial preparation of various budgets
- iv. negotiation of budgets with superiors;
- v. preparation of the Income Statement
- vi. coordination and review of budgets;
- vii. final acceptance of budgets;
- viii. Budget communicated to heads of department responsible for implementation
- ix. Periodic review of budgets;

6. INITIAL PREPARATION OF BUDGETS

The heads of departments who are responsible for meeting the budgeted performance should prepare the budgets for those areas for which they are responsible.

The preparation of the budget should be a “bottom-up” process. This means that the budget should originate at the lowest level and be refined and coordinated at higher levels.

The justification for this approach is that it enables Directors to participate in the preparation of their budgets and increase the probability that they will accept the budget and strive to achieve the highest targets.

7. COORDINATION AND REVIEW OF BUDGETS

As the individual budgets move up the organizational hierarchy in the negotiation process, they must be examined in relation to each other.

This examination may indicate that some budgets are out of balance with other budgets and need modifying so that they will be compatible with others with respect to conditions, constraints and plans that are beyond a manager's knowledge and control.

Any changes in the budgets should be made by the responsible Directors, and this may require that the budgets be recycled from the bottom – up top for a second or even a third time until all the budgets are coordinated and are acceptable to all the parties involved.

During the coordination process, a **budgeted Income Statement, Statement of Financial Position and a cash flow statement** should be prepared to ensure that all the parts combine to produce an acceptable whole. Otherwise, further adjustments or budgetary recycling will be necessary until the budgeted income statement, the Statement of Financial and the cash flow statement prove to be acceptable.

Upon approval of the from the board, the final budget is communicated to all heads of department.

8. BUDGETARY REVIEW

The budget process should not stop when the budgets have been agreed.

Periodically, the actual results should be compared with the budgeted results.

These comparisons should be made on a monthly basis and a report sent to the appropriate departments in the third week of the following month, so that it has the maximum motivational impact.

This will enable management to identify the items that are not proceeding to plan and to investigate the reasons for the differences.

Where actuals deviate from targets significantly a mid-year review of the budget may be necessitated.

9. BUDGET CALENDAR

SEPTEMBER –

Budget Kick-off meeting. Orientation and training to be held.

Budget manual with instructions to be issued and budget worksheets to be handed out at orientation.

Budget negotiations are held with departments after the draft budget (recurrent / capital expenditure have been prepared.

OCTOBER

Budget hearing and adoption of the draft by the Budget Committee.

Budget hearing and adoption of the final draft by the Budget Committee.

NOVEMBER

Final Budget document published and available to the stakeholders.

10. REPORTING TO SEC/MINISTRY OF TRANSPORT

The following documents are submitted to the State enterprises commission:

- Annual Budget
- Year Corporate Plan
- Procurement Plan
- Quarterly Report;
 - Variance Report
 - Training Report
 - Maintenance Report
 - Safety Report
- Mid-year review report (where necessary)

CHAPTER 23

END OF MONTH ACCOUNTING PROCEDURE

POLICY SCHEDULE	
Policy Title	End of Month Accounting Procedure
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Financial Accountant

POLICIES

The Director of Finance prepares the monthly financial statements

The Managing Director approves the financial statements before being sent to the Board of Directors. The financial statements should be dispatched to the Managing Director at least two days prior to the mailing of Board packets in order to facilitate this review.

The Board of Directors approves the monthly financial statements.

PROCEDURES

The cut-off for information in the monthly statements is two weeks after the month end.

Upon completion of the monthly bank reconciliations, the Financial Accountant will formulate the monthly journal entries.

There are two types of monthly journal entries, those that remain consistent from month to month (recurring) and those that are specific to that month.

The recurring journal entries include

- i. depreciation
- ii. prepaid insurance

- iii. utility usage
- iv. post employment benefit
- v. other liabilities, etc.

The specific journal entries include recording of

- i. principal and interest on loans
- ii. interest
- iii. bank transfers/ charges
- iv. payroll activities
- v. receivables, etc.

The Financial Accountant will maintain a file for each month which includes working papers on the Financial Statement.

Once the final general journal entries are posted, the monthly financial statement is printed along with a copy of the general ledger for that month as well as the general journal entries posted.

The financial statements are to be delivered to the Board of Directors within three weeks after the end of the month.

CHAPTER 24

FINANCIAL STATEMENTS

POLICY SCHEDULE	
Policy Title	Financial Statements
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Financial Accountant

POLICY

GACL's policy is to prepare accurate financial statements in accordance with generally accepted accounting principles and distribute them in a timely and cost-effective manner.

The standard set of financial statements described below will be produced on a quarterly basis and annually. These financial statements shall be prepared on the accrual method of accounting.

STANDARD FINANCIAL STATEMENTS OF THE COMPANY

Preparing financial statements and communicating key financial information is a necessary and critical accounting function.

Financial statements are management tools used in making decisions, in monitoring the achievement of financial objectives, and as a standard method for providing information to interested parties external to the organization.

Financial statements may reflect year-to-year historical comparisons or current budget to actual comparisons.

The preparation of financial statements in conformity with accounting principles generally accepted in Ghana, which is International Financial Reporting Standards (IFRS requires GACL to make estimates and assumptions about the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period.

The basic financial statements of GACL that are maintained on an organization-wide basis are:

1. **Statement of Financial Position** – reflects assets, liabilities and net assets of the organization and classifies assets and liabilities as current or non-current/long-term.

Assets are probable future economic benefits obtained or controlled by the organization as a result of past transactions or events. Assets of GACL are classified as current assets, fixed assets, contra-assets, and other assets.

Current assets are assets that are available or can be made readily available to meet the cost of operations or to pay current liabilities. Some examples are cash, temporary investments, and receivables that will be collected within one year of the statement of financial position date.

Fixed assets (property and equipment) are tangible assets with a useful life of more than one year that are acquired for use in the operation of the organization and are not held for resale.

Other assets include long-term assets that are assets acquired without the intention of disposing them in the near future. Some examples are security deposits, property, and long-term investments.

Liabilities are probable future sacrifices of economic benefits arising from present obligations of the organization to transfer assets or provide services to other entities in the future as a result of past transactions or events. Liabilities of GACL are classified as current or long-term.

Current liabilities are probable sacrifices of economic benefits that will likely occur within one year of the date of the financial statements or which have a due date of one year or less. Common examples are accounts payable, accrued liabilities, short-term notes payable, and deferred revenue.

Long-term liabilities are probable sacrifices of economic benefits that will likely occur more than one year from the date of the financial statements. An example is the non-current portion of a mortgage loan.

Net assets are the difference between total assets and total liabilities.

2. **Statement of Comprehensive Income** – presents revenues, gains, and other support, expenses, and changes in net assets of the company, by category of net assets.

Revenues are inflows of the company or other enhancements of assets, or settlements of liabilities, from rendering services, delivering or producing goods, or other activities that constitute the company's ongoing major or central operations. Examples include tuition and fees, contributions, investment income, government grants, and auxiliary operations.

Expenses are outflows or other using up of assets or incurrence of liabilities from rendering services, delivering or producing goods,, or carrying out other activities that constitutes GACL's ongoing major or central operations. Expenses are classified by functions, such as, program expense, management and general expense, and fund-raising expense.

Program expense includes the following categories:

3. **Statement of Cash Flows** – reports the cash inflows and outflows of the organization in three categories: operating activities, investing activities, and financing activities.

CHAPTER 25

END OF YEAR ACCOUNTING PROCEDURES

POLICY SCHEDULE	
Policy Title	End of Year Accounting Procedure
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Financial Accountant

POLICIES

The Director of Finance prepares the year end financial statements.

The Director of Finance is responsible for preparing for the annual financial audit and for working with the Independent Auditors to complete the audit.

The Managing Director approves the financial statements before being sent to the Board of Directors. The financial statements should get to the Managing Director at least one week prior to the mailing of the Board packet in order to facilitate this review.

The Board of Directors approves the year end financial statements.

PROCEDURES

The cut-off for December financial statements is extended to four weeks after year end.

Upon completion of the December financial statements, the preliminary year end report is run by the Director of Finance and given to the Managing Director for review.

The Financial Accountant calculates the recurring entries for the new year.

FINANCIAL AUDIT

The Director of Finance will contact the independent Auditors as soon as the Managing Director signs the audit engagement letter to begin planning the scheduling and work needed to complete the audit.

The Director of Finance will ensure that adequate space is provided for the independent Auditors to work in our offices. This would include one or more large tables, space to keep our records provided to the independent Auditors, light and electrical outlets.

The Director of Finance will work with the independent accountants to determine what confirmations will be required. This process will be completed as soon after year end as possible. The Director of Finance will oversee typing the confirmations. The Managing Director will sign the confirmations. The Director of Finance will mail the confirmations to the independent auditors.

The Financial Accountant will be responsible for preparing as many of the schedules which the auditors will use as possible. The completed monthly reconciliations for December will partially fulfill this requirement.

The Director of Finance will be available at all times throughout the audit to facilitate the work of the independent accountants. The Managing Director will schedule some time to meet with the independent accountants as needed during the audit.

The Director of Finance and Managing Director will plan a meeting with the independent accountants at the end of the audit to discuss any issues raised, review the audit journal entries, evaluate the audit process and plan improvements for the following year.

CHAPTER 26

ANNUAL AUDIT

POLICY SCHEDULE	
Policy Title	Annual Audit
Policy Owner	Finance Department
Policy Lead Contact	Director, Finance or Financial Accountant

POLICY

It is the policy of GACL to arrange for an annual audit of the company's financial statements to be conducted by an independent accounting firm.

The independent accounting firm selected by Auditor General will be required to communicate directly with the company's Audit Committee upon the completion of their audit. In addition, members of the audit committee are authorized to initiate communication directly with the independent accounting firm.

PREPARATION FOR THE ANNUAL AUDIT

GACL will be actively involved in planning and assisting the company's independent accounting firm in order to ensure a smooth and timely audit of its financial statements. In that regard, the accounting department will provide assistance to the independent auditors in the following areas:

Planning – The Director Finance is responsible for delegating the assignments and responsibilities to accounting staff in preparation for the audit. Assignments will be based on the list of requested schedules and information provided by the independent accounting firm.

Involvement – Company staff will do as much work as possible in order to assist the auditors and, therefore, reduce the cost of the audit.

Interim Procedures – To facilitate the timely completion of the annual audit, the independent auditors may perform selected audit procedures prior to the company's year-end.

By performing significant portions of the audit work as of an interim date, the work required subsequent to year-end is reduced.

Company staff will assist as much as possible in order to provide requested schedules and documents to auditors during any interim fieldwork that is performed.

Throughout the audit process, it will be the policy of GACL to make every effort to provide schedules, documents and information requested by the auditors in a timely manner.

CONCLUDING THE AUDIT

Upon receipt of a draft of the audited financial statements of GACL from its independent auditor, the Director of Finance will perform a detailed review of the draft, consisting of the following procedures:

- i. Carefully read the entire report for typographical errors.
- ii. Trace and agree each number in the financial statements and accompanying footnotes to the accounting records and/or internal financial statements of GACL.
- iii. Review each footnote for accuracy and completeness.

Any questions or errors noted as part of this review will be communicated to the independent auditor in a timely manner and resolved to the satisfaction of the Director of Finance.

It will also be the responsibility of the Director Finance to respond in writing to all management letter or other internal control and compliance report findings and recommendations made by the independent auditor.

REVIEW AND DISTRIBUTION OF FINANCIAL STATEMENTS

Annual financial statements and supporting schedules shall be considered by the Audit and Finance Committee of the Board of Directors after which a complete set of annual financial statements shall be approved by the full Board of Directors.

CHAPTER 27

SOFTWARE AUTHORISATION AND BUCKUP

POLICY SCHEDULE	
Policy Title	Software Authorization and Backup
Policy Owner	Technical Service Department
Policy Lead Contact	Head ITC

POLICIES

Access to the accounting software will be controlled by passwords. The ICT Manager will control the master password. The Financial Accountant will own the accounting software and control access rights to be allocated to authorised staff.

The accounting software will be backed up regularly and the ICT section will responsible for carrying out this backup.

The ICT Manager will be responsible for maintaining the disaster recovery plan for the accounting software and for periodically testing the plan.

PROCEDURES

a) Passwords

The ICT Manager will maintain a record of all authorized users and the level of password access each user has.

ICT Manager will ensure that the system makes users to change passwords frequently. **b) Backup**

The backup procedures are designed to maintain records of various periods until that period is closed.

A daily tape backup will be maintained of the accounting data for each day that work is performed until that day is backed up the following week.

A copy of all tapes will be kept in a fireproof safe in the office and a copy of back up will be stored outside of KIA at a distant safe location.

The ICT Manager will ensure that the appropriate backups are made at the end of each day and that the backups are readable and can be used to restore processing when needed.

c) Disaster Recovery Plan (DRP)

ICT Manager will ensure that an appropriate Disaster Recovery Plan is in place at GACL and is responsible for its testing to ensure it will work when needed. The Finance Director will work with Internal Audit to ensure that the ICT Manager fulfills this requirement.

CHAPTER 28

POLICY GUIDELINES ON ASSISTANCE TO SUBSIDIARIES

POLICY SCHEDULE	
Policy Title	POLICY GUIDELINES ON ASSISTANCE TO SUBSIDIARIES
Policy Owner	Commercial Service Department/Finance
Policy Lead Contact	DCS/DF

POLICY GUIDELINES ON ASSISTANCE TO SUBSIDIARIES

1. POLICY OBJECTIVE

To assist the subsidiaries to achieve their corporate objectives through the provision of consultancy and specialist support.

2. TYPES OF ASSISTANCE CONDITIONS ATTACHED THERETO

- i. Human Resources
- ii. Finance
- iii. Legal
- iv. Technical
- v. Capital Items – infrastructure (accommodation) / Equipment

Assistance can be provided either through:

- Internal
 - a. Secondment or attachment of staff of GACL.
 - b. Training of ACL Staff
- External

Consultancy by engagement of expert in the relevant field

NEED FOR THE ASSISTANCE

The subsidiary must be able to:

- identify a need in an area and do not have the capacity or manpower to implement
 - that if the said need is not addressed, budgeted for, etc performance would not be attained. Therefore there is the need for the assistance.
 - That the cost of addressing in-house will be high. Company too small
- Justification for assistance;-
- a. interest of the Company will be jeopardized
 - b. set targets will be affected negatively
 - c. profitability will be affected negatively

4. DURATION

This assistance will be to provide support on a continuous basis to ensure the subsidiary will perform.

It is meant to fill gaps

Subsidiary must be able to establish duration (as a project) e.g. as ^{first} step, initial legal issues should be referred to the legal department to ascertain the level of commitment.

5. COST

The subsidiary must be able to justify the cost and same be agreed between parties before commencement.

6. MONITORING

Depending on the activity concerned, a department (head) shall be nominated to coordinate and monitor due compliance. For corporate governance, the head of the subsidiary shall be held responsible for compliance

7. MANAGEMENT FEES

GACL must charge some fees no matter how nominal. Fees may be:

- Percentage of profit or an agreed sum.

Either way, it has to be agreed with the subsidiary.

3. NEED FOR THE ASSISTANCE

The subsidiary must be able to:

- identify a need in an area and do not have the capacity or manpower to implement
 - that if the said need is not addressed, budgeted for, etc performance would not be attained. Therefore there is the need for the assistance.
 - That the cost of addressing in-house will be high. Company too small
- Justification for assistance;-
- a. interest of the Company will be jeopardized
 - b. set targets will be affected negatively
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4. DURATION

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It is meant to fill gaps

Subsidiary must be able to establish duration (as a project) e.g. as step, initial legal issues should be referred to the legal department to ascertain the level of commitment.

5. COST

The subsidiary must be able to justify the cost and same be agreed between parties before commencement.

8. MONITORING

Management will provide guidance later.

9. MANAGEMENT FEES

GACL must charge some fees no matter how nominal. Fees may be:

- Percentage of profit or an agreed sum.

Either way, it has to be agreed with the subsidiary.

CHAPTER 29

COMMERCIAL, CONCESSION AND PROPERTIES MANAGEMENT PROCEDURES

POLICY SCHEDULE	
Policy Title	End of Year Accounting Procedure
Policy Owner	Commercial Service Department/Finance Department
Policy Lead Contact	DCS/DF

1.0 CONCESSION GOALS

- Enhance the image of Accra, Ghana as a “World Class Airport.”
- Maximize customer service, convenience, and value of products and services.
- Allow the program the flexibility to react to changes in consumer market trends and passenger needs and preferences.
- Provide “cutting edge” facility designs and merchandising concepts.

1.01 CONCESSIONS OBJECTIVES

- 1) The objectives of this policy is to ensure that:
 - a) Concessions are in line with the overall strategy of Ghana Airports Company Limited
 - b) Concessions are viable and generate positive cash flows
 - c) Selection of concessionaires are transparent
 - d) Ghana Airports Company limited effectively manages risk of such concession activities
 - e) Contracts are signed and fully implemented by the Ghana Airports Company Limited and other parties.

2) SCOPE

Concessions will cover the following:

- i. Terminal concessions, typically small shops
- ii. Catering
- iii. Ground Handling
- iv. Construction of properties for rental/lease
- v. Construction of facilities for car parking, fuel depot, warehouse facilities etc.
- vi. Management contracts to cover any of the above.

OVERALL POLICY FOR AWARDING CONCESSION

This policy shall be observed by the GACL in awarding concession in and around the Airports.

A. PUBLIC NOTICE

It is the policy of the GACL to develop strong public interest in each concession. To this end, the GACL will give reasonable public notice in advance of its solicitation of each concession.

B. LOCAL BUSINESS ENTERPRISES (LBE)

It is the policy of the GACL that LBE shall have maximum opportunity to participate in the concessions.

C. QUALIFICATIONS OF PROSPECTIVE BIDDERS OR PROPOSERS

In order to have a bid or proposal considered by the GACL, all prospective operators of concession in the Airport shall provide the GACL with a bid or proposal bond. The bond will serve as a guaranty that the selected bidder or proposer will enter into the final agreement with the GACL and serve as liquidated damages should the bidder or proposal fail to follow through with its offer. The

amount of the bid bond will be sufficient to act as a penalty for failure to perform and offset the GACL additional costs, and will vary with the size and value of the privileges that are the subject to the bid or proposal.

The eligibility for shall require, as a minimum, the following information:

1. The type of organization submitting the bid or proposal (Sole Proprietorship, Partnerships, Joint venture, Company);
 2. Evidence that the bidder or proposer is authorized to do business in Ghana;
 3. Evidence that the bidder or proposer has at least the level of experience in offering goods or services of the type covered by the bid or proposal as specified in the solicitation;
 4. The names and addresses of all persons having a financial interest in the business to be operated by the bidder or proposer in the Airport. If the bidder or proposer is a partnership or joint venture, the names and addresses of all partners or members must be provided. If the bidder or proposer is a company, the names and addresses of all officers and directors and of all shareholder.
 5. The names, address, and business background of the person(s) to be employed as manager(s) of this business.
 6. A proforma statement of the projected results of operations of this business for each of the first two(2)years of operations in the Airport, identifying the source of funds to cover an deficits shown in such statement, and a current statement showing the assets, liabilities and net worth of the bidder or proposer;
 7. Evidence setting for the initial capital requirements of the businesses and providing evidence satisfactory to the GACL that such requirements and will be met; and
 8. Such additional information as may be required in the bid or RFP documents.
- If the bid or proposal bond and eligibility for are not submitted by the bidder

or proposer, or is, in the sole discretion of GACL, the information contained on the eligibility form is incomplete or not responsive or if the bidder or proposer does not have the financial capability to provide the required goods and services, the bid or proposal may be rejected by the GACL.

D. ALTERNATIVE METHOD OF AWARDDING CONCESSION

There are three ways in which concession may be awarded:

- I. Competitive bidding to specifications:
- II. Competitive proposals based on specifications, followed by negotiations with the selected proposer(s) to obtain maximum revenue consistent with desired levels of public service; and,
- III. Negotiation with a single concession'/service operator
 - (a) where services or products are unique, or
 - (b) where services are sole sourced in accordance with Procurement law, or
 - (c) where services or spaces are set aside and allocated for concession development.

i. Bidding to Specification

Bidding to specifications will be used for those concessions where it is difficult to differentiate type of service, income to be generated, and quality of service or products among several operators. In bidding to specifications, the concession will be awarded to the highest bidder. Privileges to be awarded by bidding include: Rental cars. Other Concessions may be bid or negotiated.

ii. Competitive Proposals

Competitive proposals will be used for those concessions and where type of service, volume of business to be generated, quality of services or products, and demonstrated capability and depth of management can be clearly differentiated among several operators. The concession or customer service privilege will then be awarded by the GACL comparative evaluation of each proposal with respect to depth of management, demonstrated experience at other locations, financial responsibility, reputation, success in marketing and promoting programs with similar characteristics, concession improvements of facilities proposed, level of

capital investment to be made, financial return to GACL. The final terms of the agreement will be negotiated to produce maximum financial return to the GACL consistent with Public Procurement Law.

Privileges to be awarded by competitive proposal include:

- Advertising and Display
- Food and Beverage
- Public Parking (Management Contract)
- News / Gifts / Specialty Retail
- Duty Free
- Shuttle Buses/Bar services
- Land Allocation

The GACL reserves the right to decide to award one or more of the above-described privileges by bidding rather than by competitive proposal with the approval from Public Procurement Law.

iii. **Negotiations**

Negotiation will be used where services offered are covered by patent, copyrights, trademarks or service marks, are unique or available only from a single supplier, or where services are sole sourced in accordance with PPA. In addition, if only one concessionaire meets the eligibility requirements established by the GACL with respect to the good or services required or desired, the GACL may, at its sole discretion, negotiate the concession. Conversely, if the GACL determines during a negotiation that the privilege being negotiated is available from more than one eligible supplier, then the privilege will be awarded by the bidding or proposal procedure, as appropriate.

Negotiation may also be used where services or spaces are set aside and allocated for concession development. Further, the terms of such negotiated concession or customer service agreements will be reasonable, and provide revenues in an amount which would be acceptable to a reasonably prudent operator of an airport system comparable to the Airport.

iv. **Negotiations for Renewals or Extensions with an Existing Operator**

It is the policy of the Board of Directors that, in general, there will be no extensions or renewals to any concession. Negotiation with an existing operator for renewal or extension of the term will only be used when, upon anticipated expiration of the full term of the agreement, it is determined by the management to be in the best interests of the Airport to negotiate a new agreement with the current concessionaire for continued operation, alternately, during any interim period when the GACL is accepting bids or proposals for such concession or customer service privilege. Such negotiation will be initiated only at the option of the managements, and in no instance will such negotiations commence prior to one year before the expiration of the existing agreement.

Subject to the foregoing, there is no restriction regarding successive contracts with the same concessionaire or customer service provider following a competitive bid or proposal process.

E. PREPROPOSAL AND PREBID CONFERENCES

Pre-proposal and prebid conferences will be held for all concession (or group of concession).

Prior to the pre-proposal or prebid conference of each concession, the GACL staff shall develop a working draft of the bid or proposal documents, including specifications and requirements for the concession and the proposed agreement to be entered into with the GACL. Written notice that such contract documents will be issued generally will be through advertising in at least one local newspaper, internet solicitation of interests, and by placing a notice on the GACL website. To the extent possible, a list of the names and addresses of all persons or firms to which any contract documents have been issued shall be maintained.

Subsequent changes or addendums to the bid or proposal documents shall thereafter be made available to all those on record with the airport as having received proposal documents and shall be posted on the GACL's website.

G. FORMAL SUBMISSION OF BIDS OR PROPOSALS

Each proposer for a concession will be required to describe its operating plans for the privilege to be awarded and provide any other information considered desirable by GACL as required by the RFP.

A concessions Evaluating Committee (the "Committee"), as designated by the GACL from time to time, will review and evaluate all bids and proposals received by the GACL. The chair of the Committee will be the Director of Technical Service, or such other person as may be designated by the members. The Committee may be advised from time to time by other members of the GACL staff and consultants to the GACL, as requested by the Committee.

Competitive Proposal Ranking, Evaluation and Negotiation:

Regarding competitive proposals, the Committee shall review all proposals submitted, and rank each of them from best to worst. Evaluation and selection criteria used by the Committee shall be as set forth in the RFP and in accordance with Public Procurement Law. The Committee may, in its discretion or in accordance with the terms of the RFP, require the highest ranked proposers to make a formal presentation to the Committee. The Committee shall review and evaluate the highest-ranked proposals, and prepare a recommendation as to which proposer should receiver the award.

The GACL may negotiate the precise terms and conditions of the proposal with the highest ranking proposer, in accordance with the terms of the RFP and Public Procurement Law. Such negotiation of specific terms and conditions of the award shall resolve any outstanding details of the proposal, and not materially affect the business terms contained in the Request for Proposals. If the Committee determines that an acceptable agreement cannot be reached with the highest ranked proposer, it may then terminate negotiations and commence negotiations with the second highest proposer, and so on, until a mutually-acceptable agreement is reached. In any event shall negotiation with any proposer continue, the GACL reserves the right to reject any or all proposals and to discontinue negotiations with any individual proposer at any time.

The Committee then will provide to the Board of Directors a recommended contract award with a list of all persons or firms submitting responsive bids and proposals, identifying those which were ranked highest by the Committee, together with its written review and evaluation of the highest-ranked bids and proposals, and its recommendation as to which bidder or proposer should receive the award. The Board of Directors may approve or reject the Committee's recommendation, and will adopt the final ranking of the bids or proposals.

CONCESSION SELECTION PROCESS

The selection of a concession will follow the following process and stages:

a) Idea stage

This stage will involve the identification of an opportunity for a concession arrangement to be undertaken. The Departmental Head responsible will present to the Managing Director, the opportunity identified and probable benefits. At this stage, there is the need to confirm the fit of the idea to strategy.

b) Feasibility

The feasibility stage will determine the viability or otherwise of a project and expected cash flow to be generated from the concession. Also to be considered at this stage will be financing options available to Ghana Airports Company Limited. This will be presented to the Board or its Sub-committee for approval.

c) Selection of Concessionaires

Following the approval of the feasibility report by the Board of Directors, the selection process will be initiated. In this case, the procedures to be adopted will be the Public Procurement Act for the advertisement and evaluation of concessionaires.

The evaluation report will be submitted to the Board or its Sub-committee for approval. A letter will be written to the successful bidder.

d) Contracts

A contract will be signed between the Concessionaire and Ghana Airports Company Limited for the contract to commence.

e) Contract Duration

The duration of a contract for a concession will be as follows:

- i. Retail concessions will be for a minimum of 3 years and renewable upon satisfactory performance
- ii. Ground handling concessions will be for a minimum period of 8 years and renewable upon satisfactory performance
- iii. Concessions for BOT will depend on cashflow projections that enables recovery of initial investments by concessionaire

f) Concession Fees

Each concession will attract the following fees:

- i. **Licence fees:** which will be applicable for the contract duration. Basis for computation will be 10% of Present Value of Cash flow projections over the contract period
- ii. **Royalties:** Royalty will be charged on gross revenue earned by the concessionaire and will be paid monthly to GACL. The rate will be determined based on current practice unless amended with board authorization.

g) Implementation Of Concession

Management of concession shall be the responsibility of the Commercial Department. The Commercial Department will agree with each concessionaire specific performance deliverables that will form the basis for performance evaluation and review.

h) Financing Of Concessions

Concessions that require significant capital outlay the following options could be adopted:

- a) Concession
- b) Build Operate and Transfer (BOT)
- c) Joint Venture
- d) Management Contract

e) Project Financing

The option to be adopted will be one that delivers the best of cash flows

g) **CONCESSION TERMINATION**

A concession will be terminated when the concessionaire fails to meet performance targets and also breaches materially contract provisions. The termination procedure involves:

- A performance review against agreed KPIs and contract provision by the Commercial Department
- A presentation to the MD on performance and recommendation to terminate the contract
- A presentation to the board for approval the termination of the concession agreement
- A notice to the concessionaire of termination in line with contract provisions.

CHECKLIST FOR OPERATORS**4.01 CHECKLIST FOR OPERATORS-CATERING COMPANIES**

- **LICENCE**
 - The company must be duly licensed by the Ghana Airports Company Limited and GCAA
 - The company will be required to pay a license fee
- **SECURITY**
 - Buildings used for preparation and storage of catering supplies and stores should have sufficient physical security to make them safe at all times
 - Ensure they have sterile areas to prevent product contamination
 - Refrigerated rooms etc must be kept secured using CCTV etc, seals must be applied
 - ID card system must be worn within controlled areas

- Vehicles parking areas must be outside of the preparation and storage buildings
- Maintaining proper documentation
- Tamper evident seals
- Use of catering carts and containers to ensure security of items to be transported.
- Pre-employment background checks to be conducted before employment

- **FINANCE**

- Company must be duly incorporated and registered to perform the function identified
- Company should provide evidence of tax clearance
- Company should be licensed by CEPS to operate as such and inspected and given approval.
- Company should be financially viable and produce necessary documentation to confirm this.
- Company to provide a bank guarantee being 50 percent of its license fee which can be used to defray any debt that may accrue.
- The Company must show evidence of its capacity to perform

- **OPERATIONS**

- The company's premises and equipment should be approved by Ministry of Health and HOTCASS
- The company's operations must conform to ISO Standards in accordance with IATA handling Agreements
- At least two of its caterers must have internationally recognized certificates.
- Should be accredited by at least 2 airlines
- Should provide evidence of having the necessary equipments and appropriate vehicles needed to carry out its functions

- The company shall be required to install an accounting system in which all relevant data is recorded and transmitted via computer link-up to that of GACL

4.02 CHECKLIST FOR OPERATORS-OTHER CONCESSIONAIRES

- **LICENCE**

- The company must be duly licensed by the Ghana Airports Company Limited and GCAA
- The company will be required to pay a license fee

- **SECURITY**

- ID card system must be worn within controlled areas
- Vehicles parking areas must be outside of the preparation and storage buildings
- Maintaining proper documentation
- Pre-employment background checks to be conducted before employment

- **FINANCE**

- Company must be duly incorporated and registered to perform the function identified
- Company should provide evidence of tax clearance
- Company should be financially viable and produce necessary documentation to confirm this.
- Company to provide a bank guarantee being 50 percent of its license fee which can be used to defray any debt that may accrue.
- The Company must show evidence of its capacity to perform

- **OPERATIONS**

- Should provide evidence of having the necessary equipments and appropriate vehicles needed to carry out its functions
- The company shall be required to install an accounting system in which all relevant data is recorded and transmitted via computer link-up to that of GACL
- The company shall provide fittings which will enable them confirm. There shall be remove after termination or expiration of contract

CONCESSION MANAGEMENT PROCESS

I. Car Park Operation

Car Park is managed by Commercial Services Department.

- Money collected by Commercial Services shall be paid into an account dedicated to the car park business.
- The Commercial Department shall obtain on a daily basis machine receipts, manual slips and VAT invoices for Long Term Parking (LTP).
- Summaries are made from these documents at the end of every month, and sent to the Finance department.
- The finance department, on a daily basis shall obtain bank pay-in-slips from Commercial Services department and reconciles them.
- These documents shall be sent to the Internal Audit department for validation.
- This activity shall be outsourced

II. Catering Uplift Income

- The Commercial Services Department receives monthly returns from the catering companies.
- The returns shall be forwarded to the Finance department which in turn forwards it to internal audit department for validation.
- Upon validation, the returns are sent back to the Finance department to issue debit notes to the catering companies.
- The catering company then pays the Royalty to GACL.

III. Advertisement Income

- The concessionaire shall submit copy of contracts in respect of new adverts. Commercial Services Department shall approve of advert and monitor installation.
- At the end of the month, the concessionaire shall submit returns of advert income to the Commercial Services Department, which is forwarded to the finance department.
- The returns are forwarded to the internal audit department for validation.
- The validated returns are submitted to the finance department for billing. the concessionaire then pays GACL after receipt of Debit Note.

IV. Bullion Cargo

- Commercial Services Department receives airway bills from Aviance and checks them with the police log books at bullion shed.
- Commercial Services Department, at the end of the month prepares a monthly schedule of weight of bullion and charge per kilo.
- A summary is presented to Finance department which forwards returns to the internal audit department for validation.
- Validated summary report is returned to the Finance department to issue a debit note to Operator.
- Operator then pays on receipt of debit note.

V. Towing Business

- The towing business is managed by the Commercial Service Department.
- When a car is clamped/towed for wrong parking, a summons sheet is prepared for the driver and when the fine is paid a receipt is issued. Cash receipts are lodged into a bank account by the towing company.
- On a daily basis, the schedule officer at the commercial section obtains from the towing company, copies of the cash receipts and compares it to the daily bank pay in /deposit slips. A claim on parking enforcements shall be presented by the towing company to the Director of Finance. The commercial section also sends the towing summary report to the finance department where both documents are forwarded to the audit department for validation. The validation involves checking the summaries against the summons sheet and the receipt. Finance then pays the portion due the operator.

VI. Rental Income

- Rental Income relates to property rentals and ground rent.
- Areas where rent is charged are the Airport City and Properties located at the terminals.
- In the case of rentals at the terminal for non-retail concessionaires, tenants are selected, after submitting application letters which are vetted by the Commercial Services Department,
- Selection of tenants is based on first-come-first-serve basis.
- Rentals are charged based on rate per square metre by the Properties section.
- A rent advance for 1 year is payable after offer letter has been accepted by tenant.
- This is then followed by a tenancy agreement between the Tenant and GACL.
- For existing tenants, rent is paid 6 months in advance.
- The finance department issues debit notes to tenants based on information available from the master rent schedule.
- The master rent schedule shows rent charge for the period per tenant.
- The tenant pays rent based on the debit note issued by the finance department.
- Tenants at the Airport City are charged ground rent annually.
- Land: adverts are placed in the dailies. Proposals received are evaluated by a panel. The report is approved by the board sub-committee for Airport City.
- Offer letter is issued after applicant has made payment for 1 year ground rent. The cost of plot is paid within a month of receipt of offer letter.
- For existing tenants, ground rent shall be paid annually.
- Finance department issues debit the tenants.
- Tenants pay ground rent on receipt of debit.

1. **COMMERCIAL/OFFICE SPACE MANAGEMENT**

1.1 **Objectives**

- I. Revenue Generation through rent income
- II. Operational set-up support for airport operatives

1.2 **Criteria for Allocations**

By a combination of the factors below;

- I. Engagement in Airport Related Business (often on Airport Operations Department Recommendations)
- II. Need
- III. Availability At Location And Space Required
- IV. Company Profile Acceptability
- V. Time of Application (first come basis)
- VI. Nature of Business Activity

1.3 List Of Applications For Space Allocation

1.3.1 PROCEDURE FOR ALLOCATION OF COMMERCIAL SPACE

- **APPLICATION**

The prospective application is required to make an application introducing the company, the area of operation, kind of space required, location, purpose/use etc.

- **SELECTION FOR APPLICATION**

The selection is based on established criteria stated above

- **OFFER**

The successful applicant is given an offer letter which states the terms of contract to be executed by the Legal Department.

- **PAYMENT TO CONFORM ACCEPTANCE**

The applicant is required to make payment of the various amounts including the rent passing, administrative fee, cash payment as guarantee etc within 14 days to conform acceptance of the offer.

- **DECLINE TO PAY WITHIN THE STIPULATED TIME**

The offer letter is revoke upon expiration of the time given for payment

- **HANDING OVER OF PREMISES**

The keys to the commercial space is handed over to the Tenant in tenantable condition.

- **ADVICE LEGAL TO PREPARE AGREEMENT**

Based on the offer letter Legal Department prepares a tenancy agreement for the allocation.

- **ADVICE FINANCE TO PREPARE INVOICE**

The Finance department is advised by the offer letter to prepare and invoice and thereafter invoice bi-annually.

VII. Retail Concessionaires

- Retail concessionaires cover a range of businesses that operate at the Kotoka International Airport.
- The contract terms shall require them to pay the royalties either on a quarterly or monthly basis.
- At the end of the period, the concessionaires present their returns to the commercial services department , which in turn forwards it to the finance department.
- The finance department also forwards the returns to the internal audit department for validation.
- This is then sent to the finance department for billing. The concessionaire shall pay the royalties after receipt of debit note from the finance department.

VIII. Ground Handling Services

- Ground handling services cover export, import and underwing handling.
- The handling companies at the end of the month submit their returns to the finance department.
- The returns shall be sent to the internal audit department for validation.
- The handling companies then pay the royalties due upon receipt on debit note.

GLOSSARY

DEFINITION OF EXPENSE ITEMS AS IN CHART OF ACCOUNTS

Basic Salaries (Management)

Gross salaries of permanent Management Staff. This usually remains fixed until changed through periodic negotiations, appointments, reclassifications, etc.

Basic Salaries (General)

Gross salaries of permanent General Staff. This is usually fixed until changed through negotiations, appointments, reclassifications, etc.

Overtime

Compensation for hours in excess of normal working hours performed. This includes times at work during weekends, holidays and off duty periods.

Wages

Remuneration to non-permanent staff. This includes expenditure on contract staff, National Service personnel, casual workers, etc.

Allowances

This all expenditure intended to raise the morale of employees. These include night, hazard, tools, car maintenance, acting, cashier, transfers, fuel, housing, clothing, canteen, utilities, etc. for both management and general staff

SSF

Employer's contribution of 13.0% of Basic Salaries to the social security fund.

Bonus

Provision made for employees under the Bonus policy at the end of the accounting period shall be debited to this account.

Provident Fund

Company's contribution of 10% of basic salaries to match deductions to Employee Provident Fund.

Medical

Medical treatment expenses for employees and their dependants. Activities concerned with the physical and mental health of employees, Contract Staff, NYEP and other casual workers

Uniform and Clothing

All expenditure on the provision of uniforms, shoes, ties to employees.

Repairs and Maintenance

Expenditure incurred in keeping company vehicles, furniture, building, equipment and other fixed assets in effective working condition.

Rents & Rates

All rates or fees levied on the company's landed properties and rental/leasing arrangements.

Office Expenses

All non-stationery expenses incurred in respect of the management of the office. These include meeting- related snacks and lunches for staff, etc.

Contract Services

Expenditure related to outsourced services including cleaning and sanitation, horticultural activities, security, routine maintenance of equipment, and others.

Electricity

Estimate expenditure for electricity consumption for both office and domestic dwellings.

Water

Total estimated expenditure on water utility (official and domestic).

Communication Charges

Payments for fixed telephone lines, connectivity charges, cellular usage, internet service, SITA, fax, etc.

Car Park Expenses

All routine expenses incurred in the running of all car parks manned by the company

Depreciation on Fixed Assets

A percentage estimate of wearing out, consumption or other loss of value of a fixed asset, motor vehicles and furniture caused by effluxion, obsolescence, etc in accordance with management policy.

Transport Expenses

All costs in connection with transportation of persons and materials. The costs shall include busing of staff and hire of vehicles for transporting of staff and materials for purposes of staff welfare enhancement

Insurance

Premiums paid in respect of staff, equipments, work place security, vehicles, buildings as well as premium paid for the insurance of cash in safe, cash in transit, theft and burglary, fidelity etc.

Vehicle Running

The cost of fuel and lubricants used for the running of official vehicles.

Stationery

Office stationery supplies including all consumables associated with computer usage e.g. Printer tonner and cartridges, etc.

Library and Periodicals

The cost of books, journals, newspapers, periodicals shall be debited to this account.

Entertainment

All expenses on entertainment of staff and Company's guests shall be debited to this account.

Legal Fees

Fees and other expenses incurred in connection with legal proceedings, referring the claims to arbitration, execution of power of attorney, etc.

Audit Fees

Fees paid to the statutory External Auditors for the audit of company accounts shall be debited to this account.

Consultancy Charges

Fees paid to various categories of Professionals, etc. Example for architectural, surveying services, software, etc.

Advertising/Promotion

Expenditure incurred on put outs in both print and electronic media networks. This cost includes; advertisement for recruitment of personnel, tender invitations, expression of interests, etc.

Training & Conferences (Local)

All expenses incurred by the Company on training and of its employees within Ghana. This includes per diem, accommodation, transport fares, course fees, etc.

Training & Conferences (Foreign)

All expenses incurred by the Company on training and Conferences of its employees outside Ghana. This includes visa fees, per diem, accommodation, transport fare, travel insurance, warm clothing (where applicable), course fees, etc.

Committees and Meetings

Expenditure incurred on committees and meetings and associated costs.

Bank Charges

This includes commissions, service charges and all other fees associated with bank transactions.

Board Expenses

This includes sitting allowances, board meeting associated expenses and other board related expenses.

Public Relations & Donations

All expenses incurred by the company in connection with corporate social responsibilities.

Equipment & Facilities

Cost incurred in the initial installations of all equipment and facilities used by the company.

Subscriptions & Membership Fees

Expenditure incurred by paying various professional fees either as students, members, fellows, etc.

Interest on Terminal Benefit

Interest accruing on terminal benefits.